



Dedan Kimathi University of Technology

BBA 1203: Principles of Marketing
BY Dr. Mwai (PhD)

Definition of Marketing

- The Chartered Institute of Marketing of the United Kingdom defines marketing as, “The management process which identifies, anticipates, and supplies customer needs efficiently and profitably.”
- Kibera (1996) defines marketing as “the performance of business and non-business activities which attempt to satisfy a target individual or group needs and wants for mutual benefit or benefits.”
- Kotler (2006), the American marketing guru provides the definition of marketing as “A social and managerial process whereby individuals and groups obtain what they need and want through creating and exchanging products and value with others.”
- Kotler and Armstrong (2008) define marketing as “The process by which companies create value for customers and build strong customer relationships in order to capture value from customers in return.”

Key Marketing Terms

- Needs – The basic concept underlying marketing is that of human needs. Needs comprise of those things that human beings feel they cannot do without e.g. food, clothing, shelter, safety, education etc.
- Wants – Are forms of human needs that improve on their well being but which they can do without. Wants are the form of human needs taken as they are shaped by culture and individual personality for example urbanites want Television sets.
- Demand – Demand is the quantity of a commodity that consumers are willing and able to buy at a given price over a given time period other factors held constant. When a want is backed by buying power it becomes demand.
- Product – Is anything that can be offered to satisfy needs or wants. It can be tangible or intangible.

Key Marketing Terms

- Market – A constituency of potential customers sharing particular needs or wants and who might be willing and able to engage in exchange to satisfy that
- need or want.
- A market also refers to where buyers and sellers meet to transact.
- Marketing offer – Is a combination of products or service presented to the market to satisfy a need or a want.
- Value and Satisfaction – Value is the ability of a commodity to satisfy human wants. It also referred to as quality or utility. Customers look for value in a product before paying for it. The ability of a product to meet customer expectations results in customer satisfaction.
- Exchange – Is the act of obtaining a desired object from someone by offering something in return.
- Transaction – An exchange of values between two or more parties, where either party gains.
- Marketing Management – Is the art and science of choosing target markets and building relationships with them.
- What is marketed?

What is marketed?

- 1. Goods
- 2. Services
- 3. Events
- 4. Experiences
- 5. Persons
- 6. Places
- 7. Properties
- 8. Organizations
- 9. Information
- 10. Ideas



Marketing philosophies or marketing concepts

- Marketing concept or marketing philosophy means the
- attitude or course of business thinking of the management of a
- firm which guides its marketing efforts.
- There are 6 important marketing philosophies or concept. They are:

1. The production concept
2. The product concept
3. The selling or sales concept
4. The marketing concept
5. The societal or societal concept



Production concept

- The philosophy holds that high production efficiency and wide distribution coverage would sell the product offered to the market.
- According to Philip Kotler, the production concept suggests that “ Consumers will favour those products that are widely available and low in cost. Managers of production oriented organisations concentrate on achieving high production efficiency & wide coverage”.
- Features:
 - ✓ Uninterrupted product availability
 - ✓ Concentrates on production efficiency
 - ✓ Large scale production
 - ✓ Low cost
 - ✓ Not appreciated by consumers
 - ✓ Best suited for mass consumption products
 - ✓ Like food articles, fertilizers, stationery etc



Product concept

- The emphasis on production concept led to the difficulty in selling the products, which eventually forced the business to go for product differentiation.
- According to Philip Kotler, the product concept holds that “ Consumers will favour those products that offer the most quality, performance, & features. Managers in product oriented organisations focus their energy on making good products and improving them over time”.
- Features:
 - Concentration on quality & performance of products
 - Continuous product planning and development
 - No effort required for marketing the product
 - This philosophy is best suited for companies that are technology-driven



Selling concept

- Product concept further led to **Selling Concept**, when selling became difficult even after having a good product at a cheaper price.
- According to Philip Kotler, the selling concept holds that “ Consumers, if left alone, will ordinarily not buy enough of the organisation’s products.
- The organisation must therefore take aggressive selling promotion effort”.

Features:

- Undertake aggressive selling promotion efforts.
- Build profit through quick turn over
- Marketers have to be knowledgeable, energetic and imaginative for selling the products
- This concept is common for any marketing effort, but generally practiced for insurance b new products.



Marketing concept

- With the increasing competition, the business started to discover that it is useful to produce what the customer want; rather than what can be produced by the company.
- According to Philip Kotler, the marketing concept holds that “ the key to achieve organisational goals consists in determining the needs & wants of target markets & delivering the desired satisfactions more effectively & efficiently than competitors”.

Features:

- Determining customer needs and wants
- Satisfying Customers needs and wants
- Identifying customers as a group of coherent unit of market segments based on their behavior
- Examples of market oriented organisation

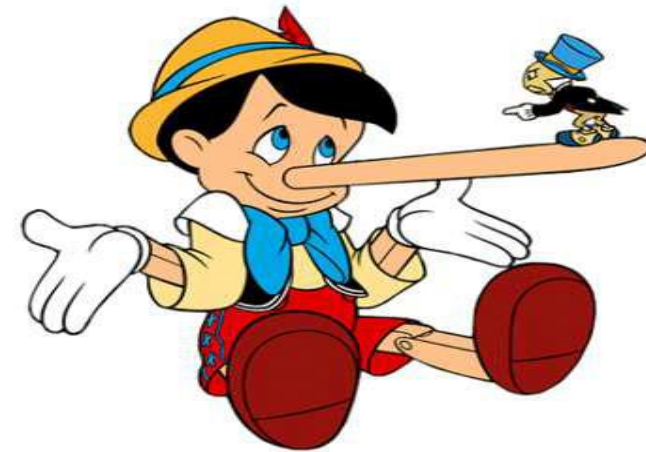


Societal concept...

- This is why, experts have suggested societal marketing concept (also known as human concept & ecological concept) which holds that the firm's task is to determine the needs, wants & interest of target markets in such a way that preserves and enhances the consumer's & society's well-being

Features:

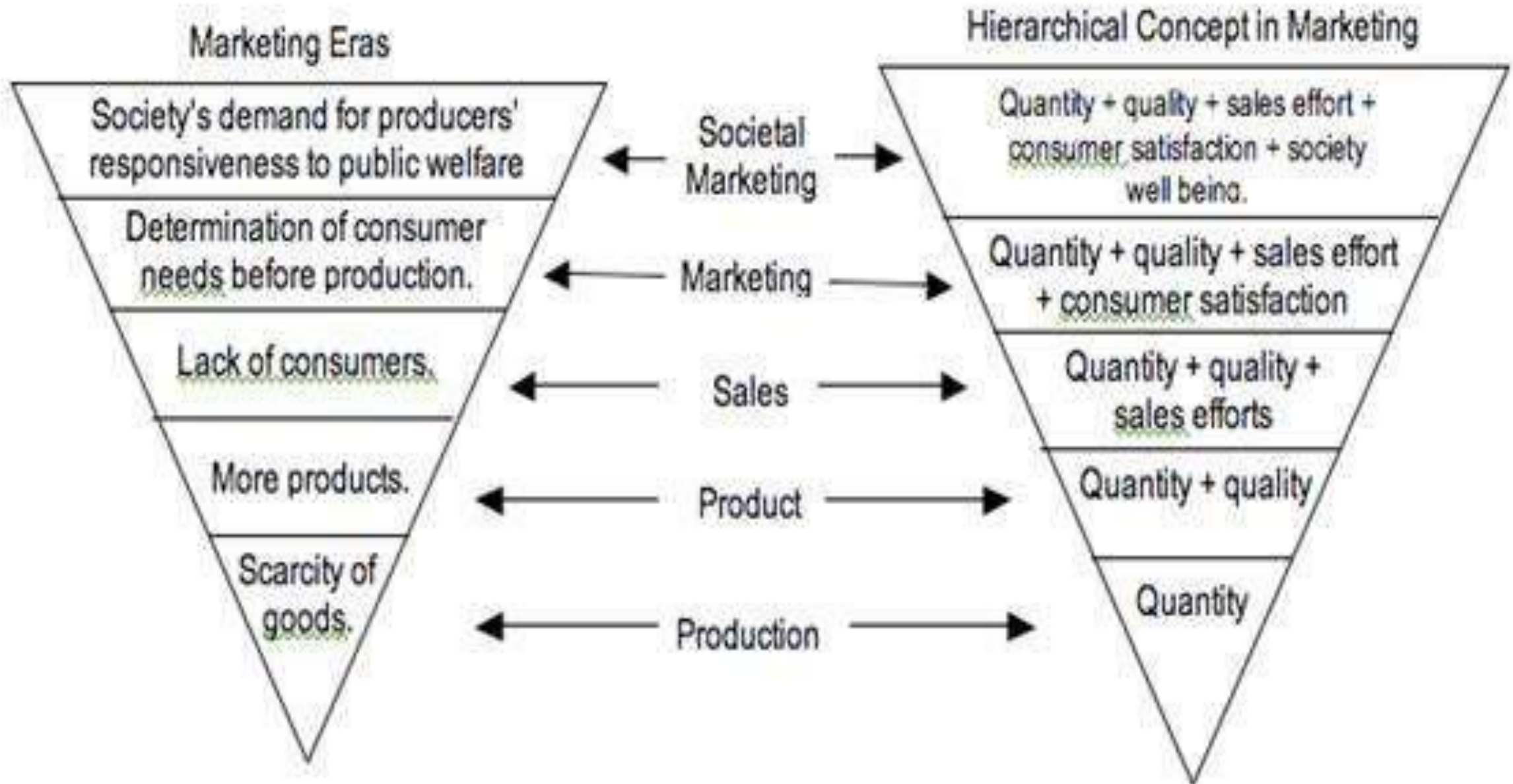
- Preserving & enhancing customers' as well as society's well being.
- Long term consumer & Public welfare Are considered



Societal concept

- Some marketing experts argue that the marketing concept ignores the potential conflicts among consumer wants, consumer interests and long run social welfare. For instance, a fast food hamburger firm offers tasty but unhealthy food.





Learning Objectives

After studying this chapter, you should be able to:

1. Explain the importance of information to the company and its understanding of the marketplace
2. Define the marketing information system and discuss its parts
3. Outline the steps in the marketing research process
4. Explain how companies analyze and distribute marketing information
5. Discuss the special issues some marketing researchers face, including public policy and ethics

Chapter Outline

1. Assessing Marketing Information Needs
2. Developing Marketing Information
3. Marketing Research
4. Analyzing Marketing Information
5. Distributing and Using Marketing Information
6. Other Marketing Information Considerations

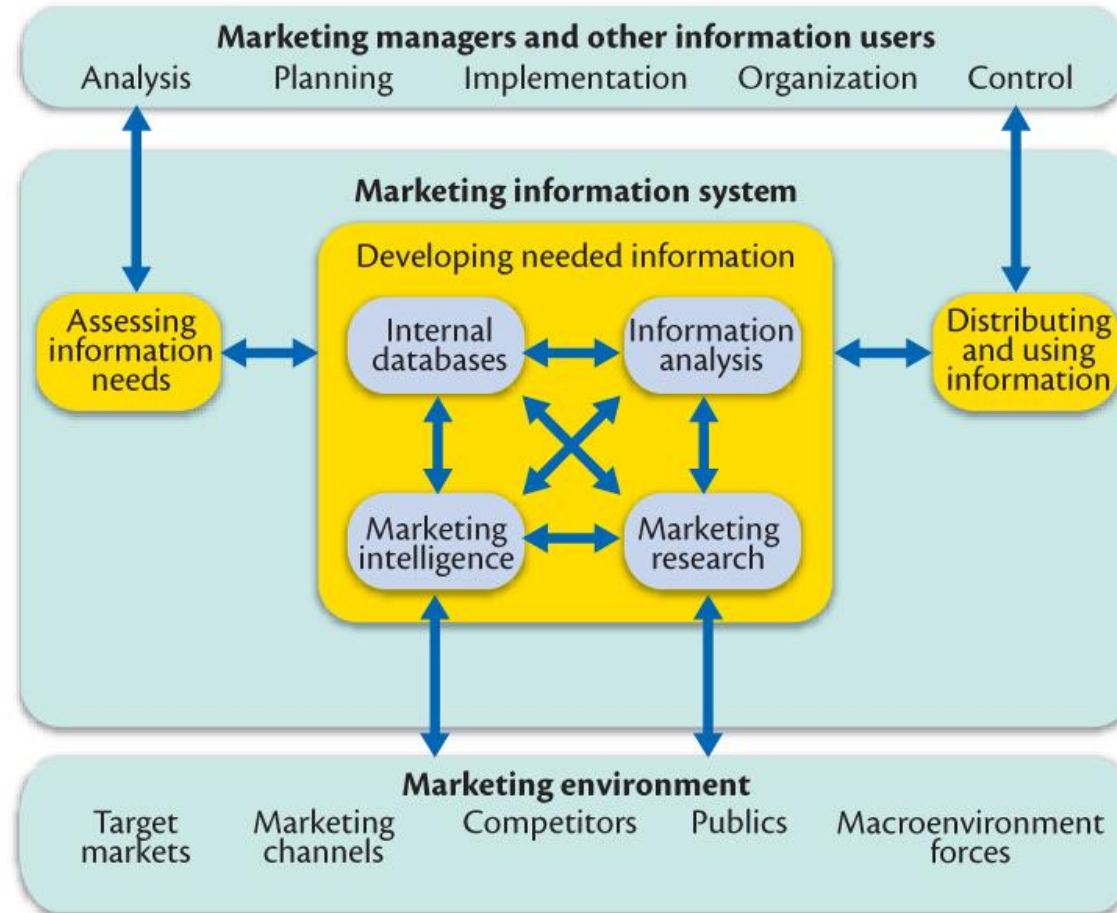
Types of marketing decision which marketing research help in making;

- ✓ Size of the market
- ✓ Customers and their buying motives
- ✓ The changing trends in the market
- ✓ Evaluating marketing efforts like advertising
- ✓ Customer satisfaction with company products
- ✓ Least and most attractive features of company products
- ✓ How well the company is performing in the market e.g market share
- ✓ Help organization learn about its competitor strategies

Assessing Marketing Information Needs

- A **marketing information system (MIS)** consists of people, equipment, and procedures to gather, sort, analyze, evaluate, and distribute needed, timely, and accurate information to marketing decision makers.
 - Assess the information needs
 - Develop needed information
 - Analyze information
 - Distribute information

Assessing Marketing Information Needs



The marketing information system

Assessing Marketing Information Needs

- MIS provides information to the company's marketing and other managers and external partners such as suppliers, resellers, and marketing service agencies



Assessing Marketing Information Needs

- A good MIS balances the information users *would like* to have against what they *need* and what is *feasible* to offer.
- Issues to consider:
 - Amount of information
 - Availability of information
 - Costs

Developing Marketing Information

Marketers can obtain information from:

- Internal data
- Marketing intelligence
- Marketing research



Developing Marketing Information

Internal Data

- **Internal databases** are electronic collections of consumer and market information obtained from data sources within the company network, including accounting, marketing, customer service, and sales departments.



Developing Marketing Information

Marketing Intelligence

- **Marketing intelligence** is the systematic collection and analysis of publicly available information about competitors and developments in the marketplace.
- The goal of marketing intelligence is to:
 - Improve strategic decision making,
 - Assess and track competitors' actions, and
 - Provide early warning of opportunities and threats.

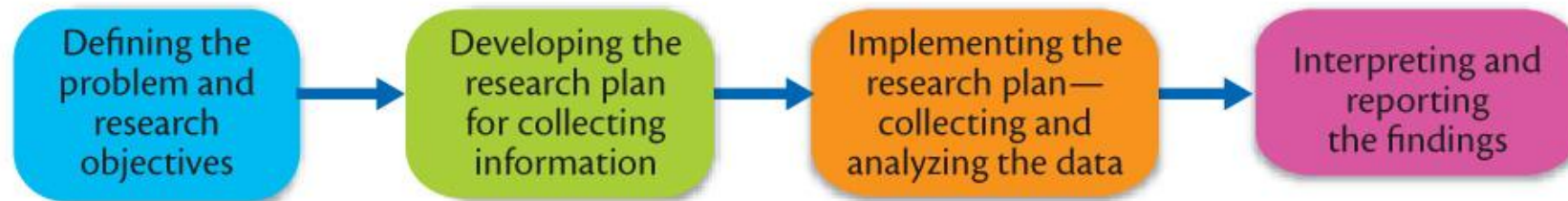
Marketing Research

Marketing research is the systematic design, collection, analysis, and reporting of data relevant to a specific marketing situation facing an organization.



Marketing Research

Steps in the marketing research process



1. Defining the problem and research objectives
2. Developing the research plan
3. Implementing the plan
4. Interpreting and reporting the findings

Marketing Research

Defining the Problem and Research Objectives

Types of objectives:

- Exploratory research
- Descriptive research
- Causal research

Marketing Research

Defining the Problem and Research Objectives

- **Exploratory research** is the gathering of preliminary information that will help to define the problem and suggest hypotheses.
- **Descriptive research** is to describe things such as market potential for a product or the demographics and attitudes of consumers who buy the product.
- **Causal research** is to test hypotheses about cause-and-effect relationships.

Marketing Research

Developing the Research Plan

The research plan

- Outlines sources of existing data
- Spells out the specific research approaches, contact methods, sampling plans, and instruments that researchers will use to gather data

Marketing Research

Developing the Research Plan

The **research plan** is a written proposal that includes:

- Management problem
- Research objectives
- Information needed
- How the results will help management decisions
- Budget

Marketing Research

Developing the Research Plan

- **Secondary data** consists of information that already exists somewhere, having been collected for another purpose
- **Primary data** consists of information gathered for the special research plan

Marketing Research

Gathering Secondary Data

+ Advantages:

- Speed
- Cost
- Provides data that a company cannot collect on its own

– Disadvantages:

- Availability
- Relevance
- Accuracy
- Impartial

Marketing Research

Primary Data Collection

- Research approaches
- Contact methods
- Sampling plan
- Research instruments



Marketing Research

Research Approaches

- **Observational research** involves gathering primary data by observing relevant people, actions, and situations.
- **Ethnographic research** involves sending trained observers to watch and interact with consumers in their natural environment.

Marketing Research

Research Approaches

- **Survey research** is the most widely used method and is best for descriptive information—knowledge, attitudes, preferences, and buying behavior.
 - Flexible
 - People can be unable or unwilling to answer
 - Gives misleading or pleasing answers
 - Privacy concerns

Marketing Research

Research Approaches

- **Experimental research** is best for gathering causal information
- Tries to explain cause-and-effect relationships.



Marketing Research

Contact Methods

Mail questionnaires

- Collect large amounts of information
- Low cost
- Less bias with no interviewer present
- Lack of flexibility
- Low response rate
- Lack of control of sample

Marketing Research

Contact Methods

Telephone interviewing

- Collects information quickly
- More flexible than mail questionnaires
- Interviewers can explain difficult questions
- Higher response rates than mail questionnaires
- Interviewers communicate directly with respondents
- Higher cost than mail questionnaires
- Potential interviewer bias



Marketing Research

Contact Methods

Mail, telephone, and personal interviewing

- Personal interviewing
 - Individual interviewing
 - Group interviewing



Marketing Research

Contact Methods

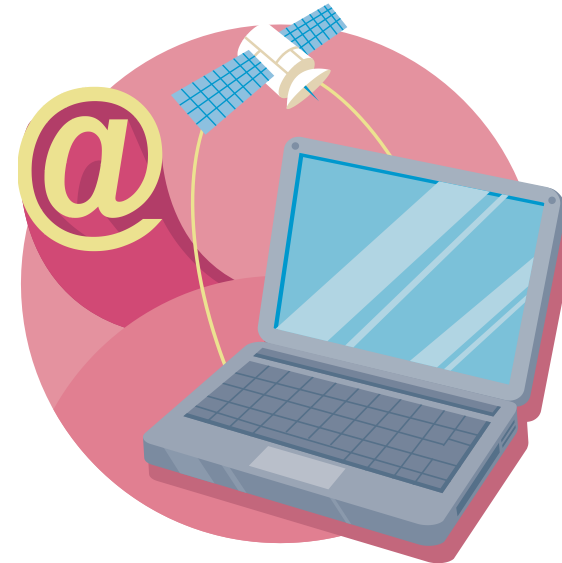
- Personal interviewing
 - **Individual interviewing**
 - Involves talking with people at home or the office, on the street, or in shopping malls
 - Flexible
 - More expensive than telephone interviews
 - **Group interviewing or focus group interviewing**
 - Involves inviting 6 to 10 people to talk with a trained moderator

Marketing Research

Contact Methods

Online marketing research

- Internet surveys
- Online panels
- Online experiments
- Online focus groups



Marketing Research

Contact Methods

Online marketing research

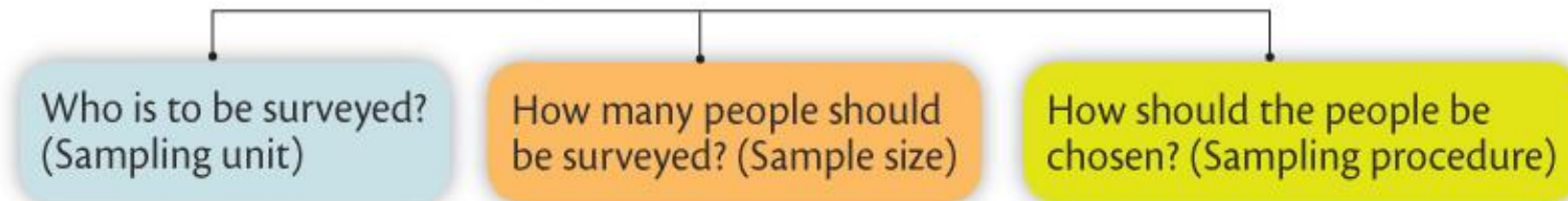
- Low cost
- Speed to administer
- Fast results
- Good for hard-to-reach groups
- Hard to control who's in the sample
- Lack of interaction
- Privacy concerns

Marketing Research

Sampling Plan

- A **sample** is a segment of the population selected for marketing research to represent the population as a whole.
 - Who is to be surveyed?
 - How many people should be surveyed?
 - How should the people be chosen?

Sampling Plan Decisions



Marketing Research

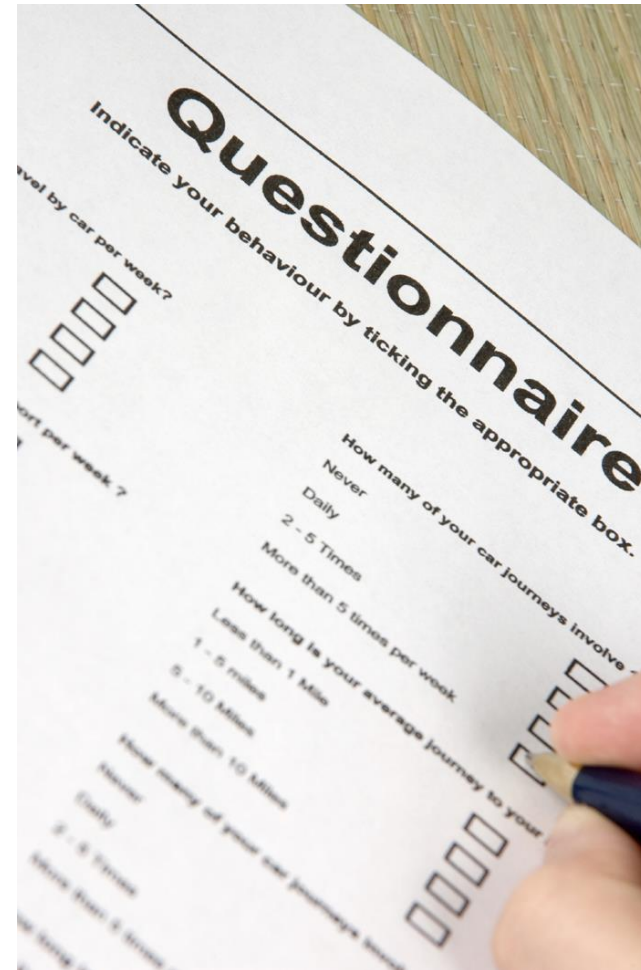
Sampling Plan

- **Probability samples:** Each population member has a known chance of being included in the sample.
- **Non-probability samples:** Used when probability sampling costs too much or takes too much time.

Marketing Research

Research Instruments

- Questionnaires
- Mechanical devices



Marketing Research

Research Instruments

- Questionnaires
 - Most common
 - Administered in person, by phone, or online
 - Flexible
 - Open-end questions
 - Closed-end questions

Marketing Research

Research Instruments

- **Closed-end questions** include all the possible answers, and subjects are to make choices among them.
 - Provides answers that are easier to interpret and tabulate
- **Open-end questions** allows respondents to answer in their own words.
 - Useful in exploratory research

Marketing Research

Implementing the Research Plan

- Collecting data
- Processing the information
- Analyzing the information

Issues to consider:

- What if respondents refuse to cooperate?
- What if respondents give biased answers?
- What if interviewer makes mistakes or takes shortcuts?

Learning Objectives

After studying this session, you should be able to:

1. Describe the environmental forces that affect the company's ability to serve its customers
2. Explain how changes in the demographic and economic environments affect marketing decisions
3. Identify the major trends in the firm's natural and technological environments
4. Explain the key changes in the political and cultural environments
5. Discuss how companies can react to the marketing environment

Marketing Environment



- 1. The Company's Microenvironment**
- 2. The Company's Macroenvironment**
- 3. Responding to the Marketing Environment**

The Marketing Environment

The **marketing environment** includes the actors and forces outside marketing that affect marketing management's ability to build and maintain successful relationships with customers.

The Marketing Environment

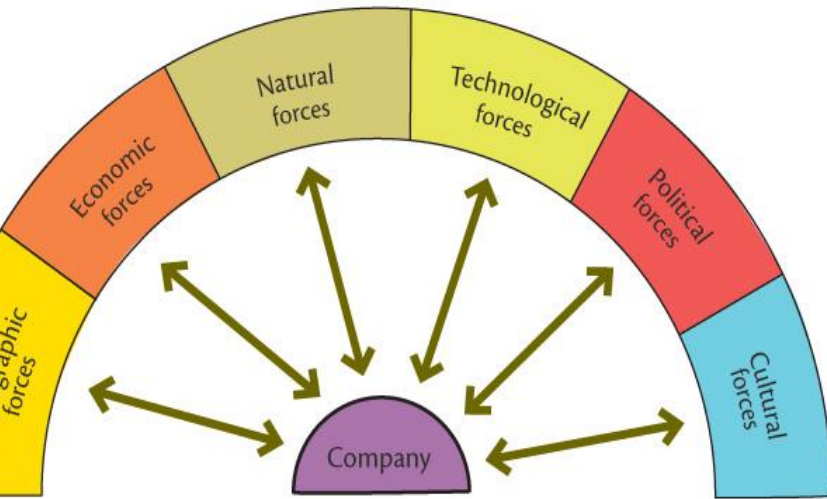
Marketing Environment

The **microenvironment** consists of the actors close to the company that affect its ability to serve its customers, the company, suppliers, marketing intermediaries, customer markets, competitors, and publics.



The Marketing Environment

Marketing Environment



The **macroenvironment** consists of the larger societal forces that affect the microenvironment.

- Demographic
- Economic
- Natural
- Technological
- Political
- Cultural

The Company's Microenvironment

- The company
- Suppliers
- Marketing intermediaries
- Customers
- Competitors
- Publics



The Company's Microenvironment

The Company

Internal environment includes:

- Top management
- Finance
- R&D
- Purchasing
- Operations
- Accounting



The Company's Microenvironment

Suppliers

- Provide the resources to produce goods and services
- Treated as partners to provide customer value



The Company's Microenvironment

Marketing Intermediaries

- Help the company to promote, sell, and distribute its products to final buyers
- Include:
 - Resellers
 - Physical distribution firms
 - Marketing services agencies
 - Financial intermediaries

TWO INTERMEDIARIES CHANNEL



The Company's Microenvironment

Marketing Intermediaries

- **Resellers** are the distribution channel firms that help the company find customers or make sales to them. These include:
 - Wholesalers
 - Retailers
- **Physical distribution firms** are the distribution channel firms that help the company to stock and move goods from their points of origin to their final destination.

The Company's Microenvironment

Marketing Intermediaries

- **Marketing service agencies** are the marketing research firms, advertising agencies, media firms, and marketing consulting firms that help the company target and promote its products to the right markets.
- **Financial intermediaries** include banks, credit companies, insurance companies, and other businesses that help finance transactions or insure against the risks associated with the buying and selling of goods.

The Company's Microenvironment

Customers

Customer markets consist of individuals and households that buy goods and services for personal consumption.

Business markets buy goods and services for further processing or for use in their production process.



The Company's Microenvironment

Customers

- **Reseller markets** buy goods and services to resell at a profit.
- **Government markets** buy goods and services to produce public services or transfer goods and services to others who need them.
- **International markets** consist of buyers in other countries including consumers, producers, resellers, and governments.

The Company's Microenvironment

Competitors

- Firms must gain strategic advantage by positioning their offerings against competitors' offerings.
- Each firm should consider its own size and industry position compared to those of its competitors.



The Company's Microenvironment

Publics

- Any group that has an actual or potential interest in or impact on an organization's ability to achieve its objectives:
 - Financial publics
 - Media publics
 - Government publics
 - Citizen-action publics
 - Local publics
 - General public
 - Internal publics

The Company's Microenvironment

Publics

- **Financial publics** influence the company's ability to obtain funds—banks, investment houses, and stockholders.
- **Media publics** carry news, features, and editorial opinion—newspapers, magazines, and radio and television stations.
- **Government publics** influence product safety and truth in advertising.



The Company's Microenvironment

Publics

- **Citizen-action publics** include consumer organizations, environment groups, and minority groups
- **Local publics** include neighborhood residents and community organizations
- **General publics** influence the company's public image
- **Internal publics** include workers, managers, volunteers, and directors

The Company's Macroenvironment

- Demographic environment
- Economic environment
- Natural environment
- Technological environment
- Political environment
- Cultural environment



The Company's Macroenvironment

Demographic Environment



- **Demography** is the study of human populations in terms of size, density, location, age, gender, race, occupation, and other statistics.
- **Demographic environment** is important because it involves people, and people make up markets.
- **Demographic trends** include age, family structure, geographic population shifts, educational characteristics, and population diversity



The Company's Macroenvironment

Demographic Environment

Changing Age Structure of the Population

- **Generational marketing** is important in segmenting people by lifestyle of life state instead of age.



Women Manage Many Tasks

- **Women often manage many tasks within the family that pull them in many directions.**



The Company's Macroenvironment

Demographic Environment

Changing Age Structure of the Population

- **Baby boomers** include people born between 1946 and 1964
 - Includes most affluent individuals in the society



The Company's Macroenvironment

Demographic Environment

Changing Age Structure of the Population

- **Generation X** includes people born between 1965 and 1976. They tend to:
 - Have high divorce rates
 - Are concerned about the environment
 - Respond to socially responsible companies
 - Are less materialistic
 - Emphasize quality of life
 - Consumer organizations, environment groups, and minority groups



The Company's Macroenvironment

Demographic Environment

Changing Age Structure of the Population

- **Generation Y** includes people born between 1977 and 1994.
 - The Internet generation



GENERATION Z

THE NEW KIDS ON THE BLOCK

THIS IS THEIR TURF

- ▶ They are the first generation of digital natives.
- **Use an average of 5 screens:** smartphone, TV, laptop, desktop, and iPad.

AS SUCH, THEY ARE TECHNOLOGY-DEPENDENT

- ▶ 79% display symptoms of emotional distress when kept away from their smartphones.

IT'S NOT ALL SUNSHINE AND RAINBOWS

- Z-Kids know a thing or two about hardship, from growing up post 9/11, the recession, and many mass shootings.
- ▶ 58% of Gen Z's are either somewhat or very worried about the future.
- 57% prefer saving money to spending it.

FENCED IN GENERATION

- ▶ This generation values privacy, preferring social media apps such as Snapchat, Whisper, and Secret over Facebook.
- A quarter of 13-17 year olds left Facebook in 2015.

GET ON THEIR GOOD SIDE

- ▶ By 2020, Generation Z will account for 40% of all consumers.
- They already wield a buying power of \$44 billion.
- ▶ Around 72% of current high-school Gen Z's want to own a business.
- 60% want their jobs to impact the world.

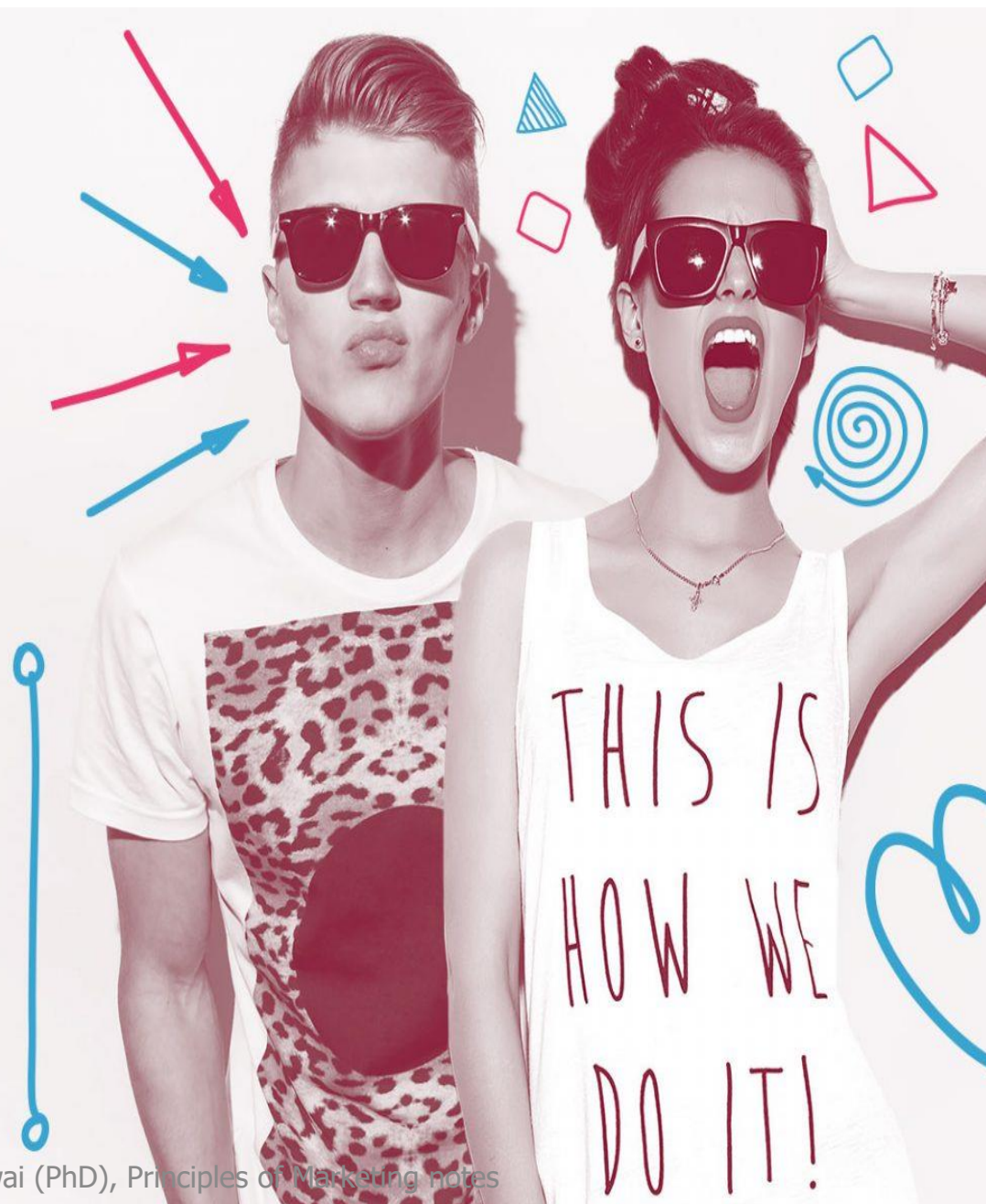
THEY ARE NOT EASILY AMUSED

The average Gen Z kid has attention span of 8 seconds.



BIGEYE
BIGEYEAGENCY.COM

Abramovich, Giselle. "15 Mind-Blowing Stats About Generation Z." 15 Mind-Blowing Stats About Generation Z. Adobe Systems Incorporated, 12 June 2015. Web. 25 July 2016. // Garton, Christie. "4 Marketing Tactics for Appealing to Generation Z." Entrepreneur. Entrepreneur Media Inc., 10 Dec. 2015. Web. 25 July 2016. // Glum, Julia. "Marketing To Generation Z: Millennials Move Aside As Brands Shift Focus To Under-18 Customers." International Business Times. IBT Media Inc., 13 Jan. 2015. Web. 25 July 2016. // "How Generation Z Differs from Generation Y - Tim Elmore." Growing Leaders. N.p., 15 Aug. 2014. Web. 25 July 2016. // Illingworth, Shannon. "15 Stats You Need to Know about Generation Z." LinkedIn. AVT Inc., 31 Jan. 2016. Web. 25 July 2016. // Williams, Alex. "Move Over, Millennials, Here Comes Generation Z." The New York Times. The New York Times, 18 Sept. 2015. Web. 25 July 2016. // "6 Trends Among Gen Z in 2016." Getting to Know Generation Z. N.p., 23 Nov. 2015. Web. 25 July 2016.



The Company's Macroenvironment

Demographic Environment

The Changing Kenyan Family

More people are:

- Divorcing or separating
- Choosing not to marry
- Choosing to marry later
- Marrying without intending to have children
- Higher divorce rates
- Increased number of working women
- More stay-at-home dads

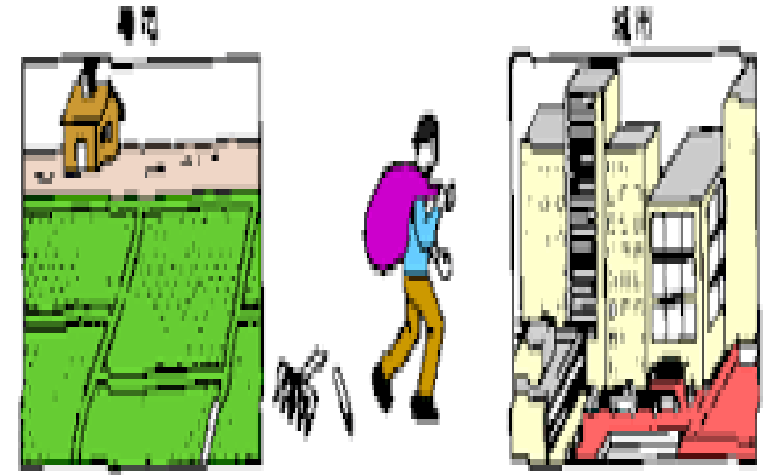


The Company's Macroenvironment

Demographic Environment

Geographic Shifts in Population

- Trends include:
 - Migratory movements between and within countries
 - Moving from rural to metropolitan areas
 - Changes in where people work
 - Telecommuting
 - Home office
 - Divorce or separation



The Company's Macroenvironment

Demographic Environment

Changes in the Workforce

Trends include:

- More educated
- More white collar
- More professional

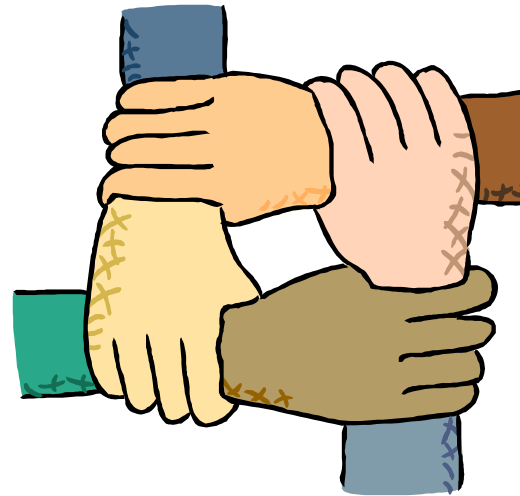


The Company's Macroenvironment

Demographic Environment

Increasing Diversity

- Markets are becoming more diverse
 - International
 - National
- Trends include:
 - Ethnicity
 - Gay and lesbian
 - Disabled



The Company's Macroenvironment

Economic Environment

- **Economic environment** consists of factors that affect consumer purchasing power and spending patterns.
 - **Subsistence economies** consume most of their own agriculture and industrial output.
 - **Indu**



The Company's Macroenvironment

Economic Environment

Changes in Income

- **Value marketing** involves ways to offer financially cautious buyers greater value—the right combination of quality and service at a fair price.
- **Income distribution**
 - Upper-class consumers
 - Middle-class consumers
 - Working-class consumers
 - Underclass consumers

Changing consumer spending pattern



The Company's Macroenvironment

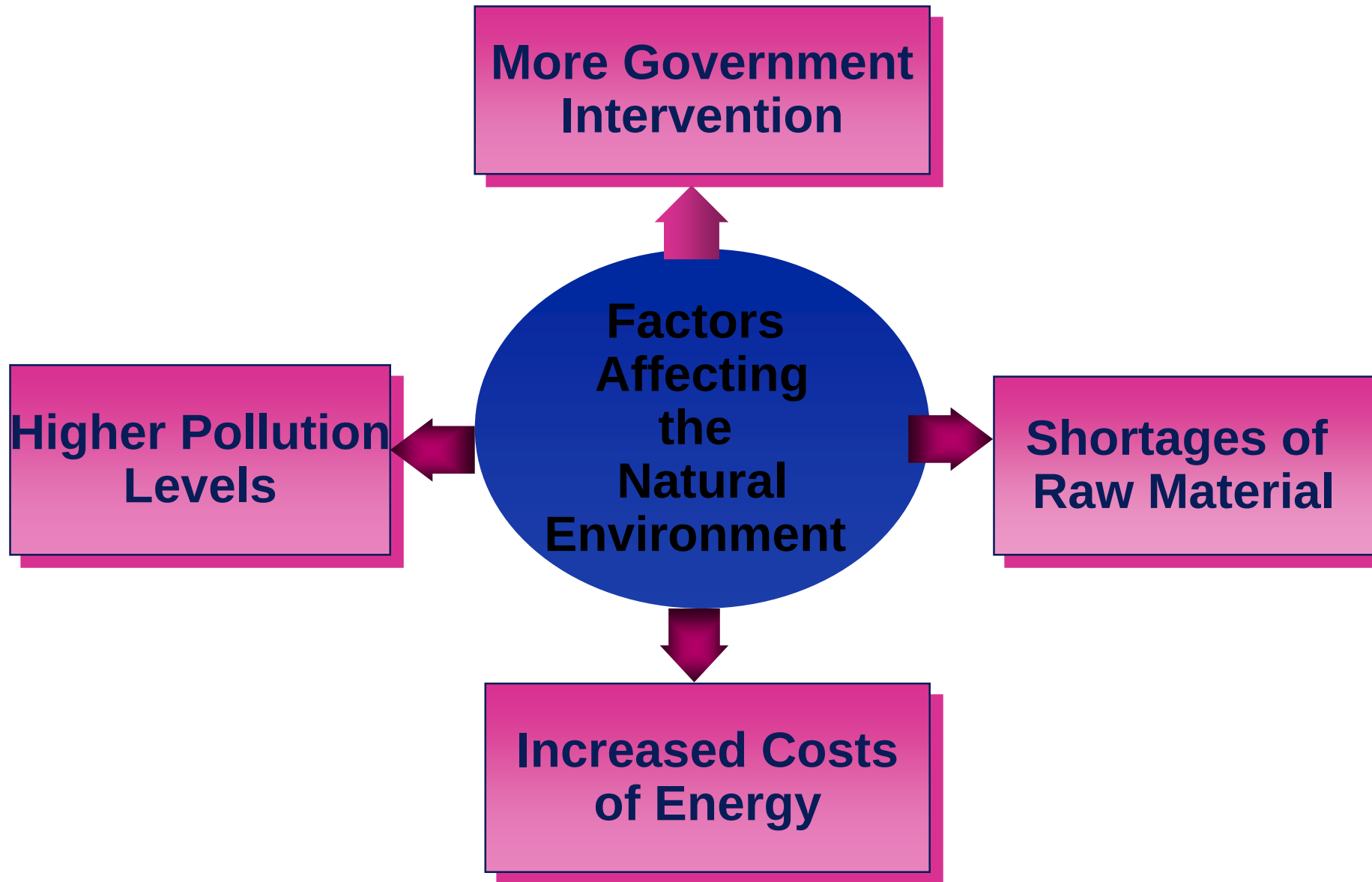
Natural Environment



- **Natural environment** involves the natural resources that are needed as inputs by marketers or that are affected by marketing activities.
 - Trends
 - Shortages of raw materials
 - Increased pollution
 - Increased government intervention
 - Environmentally sustainable strategies
 - Green marketing



Natural Environment

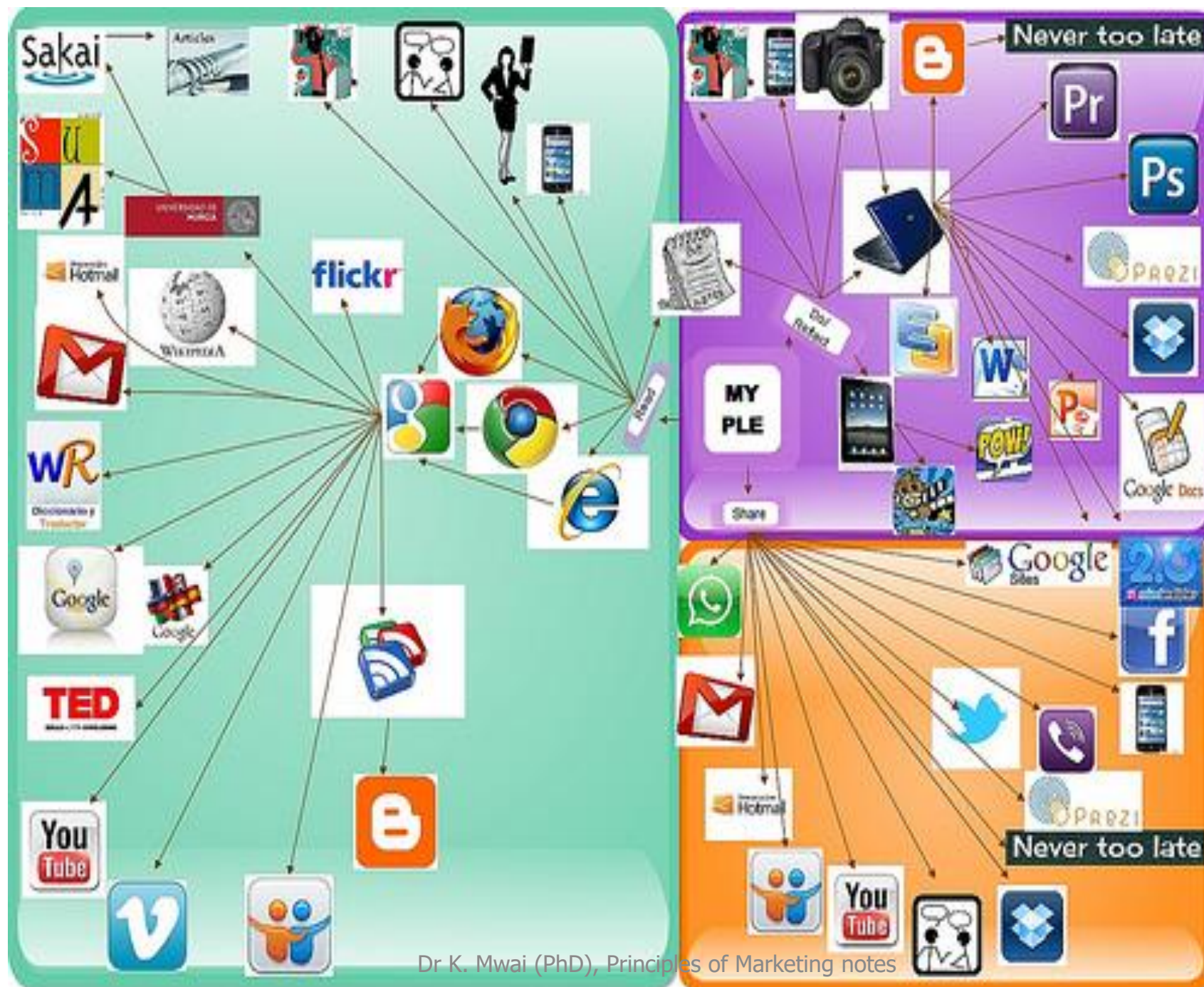


The Company's Macroenvironment

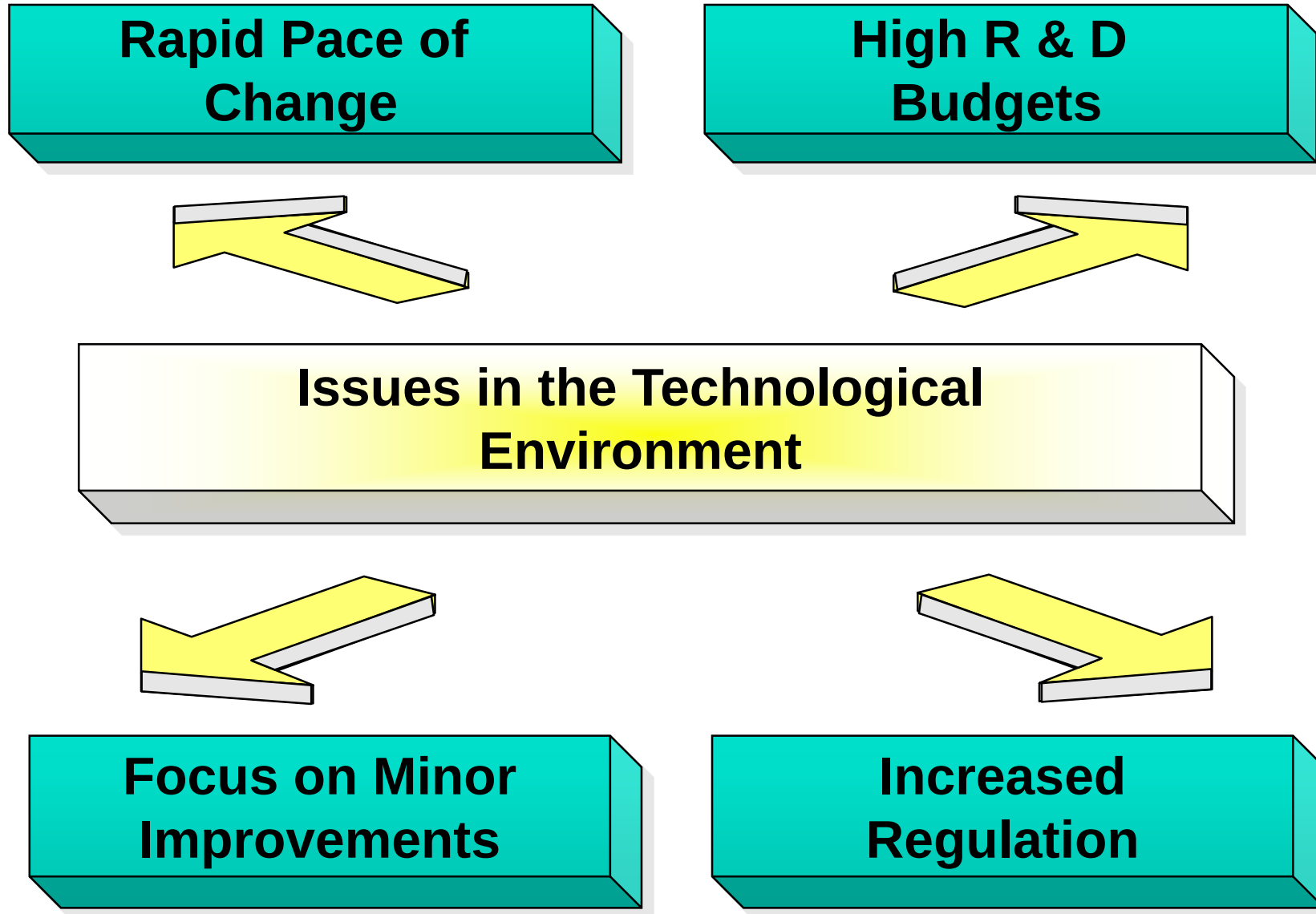
Technological Environment

- Most dramatic force in changing the marketplace with many positive and negative effects
- Rapid change
- Provides new markets and new opportunities
 - Internet
 - Medicine
 - Miniaturization
 - Weapons
 - Credit cards
 - Communication





Technological Environment



Technological Environment



- Most dramatic force now shaping our destiny.

Technological Environment

- ▶ Changes rapidly.
- ▶ Creates new markets and opportunities.
- ▶ Challenge is to make practical, affordable products.
- ▶ Safety regulations result in higher research costs and longer time between conceptualization and introduction of product.



Virtual Reality Applications in Marketing



Virtual Reality technology lets users interact with computer-generated worlds through sight, sound, and touch.

The Company's Macroenvironment

Political Environment

Political environment consists of laws, government agencies, and pressure groups that influence or limit various organizations and individuals in a given society.



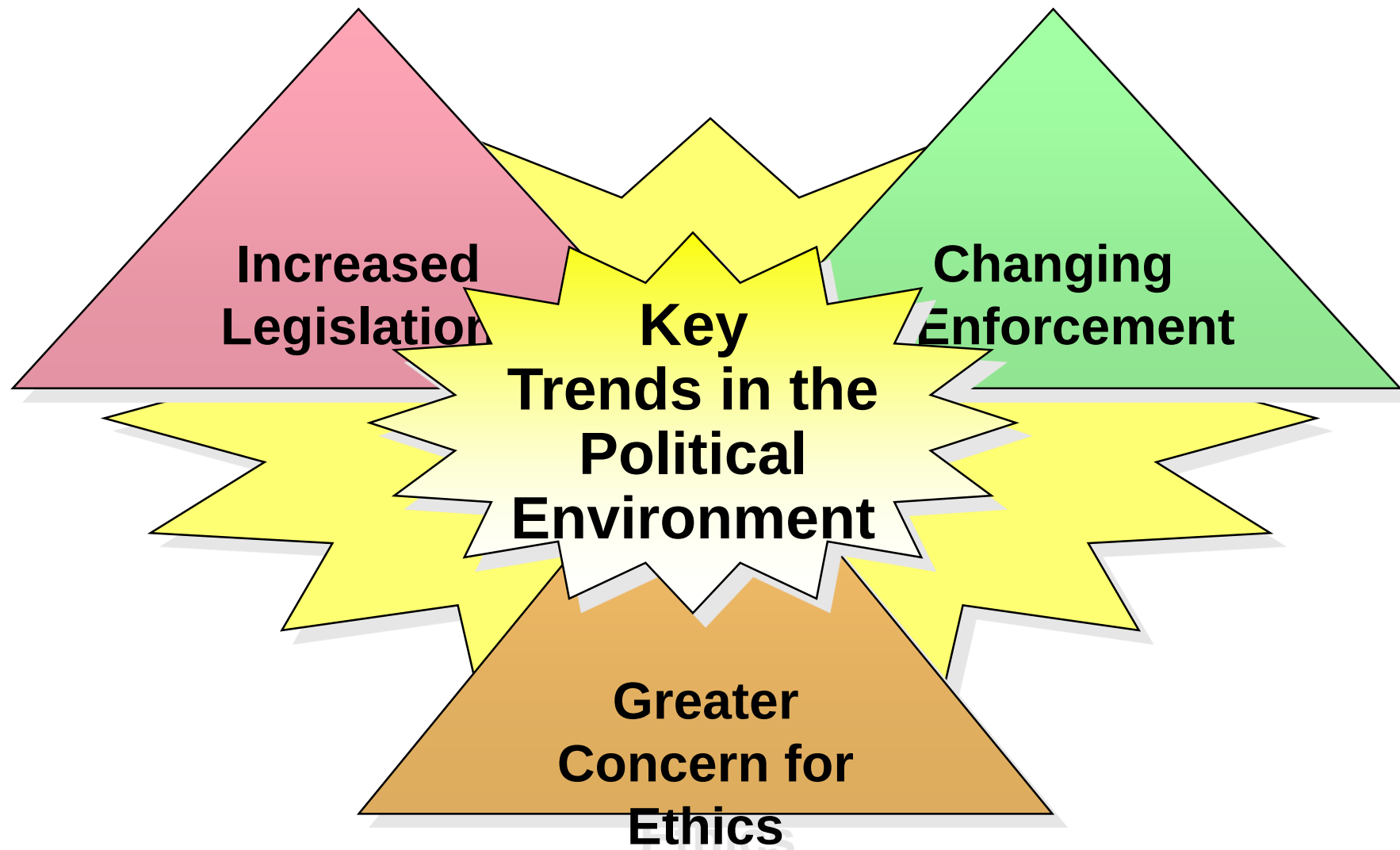
The Company's Macroenvironment

Political Environment

- Legislation regulating business
 - Public policy to guide commerce—sets of laws and regulations that limit business for the good of society at large
- Increasing legislation to:
 - Protect companies
 - Protect consumers
 - Protect the interests of society



Political Environment



The Company's Macroenvironment

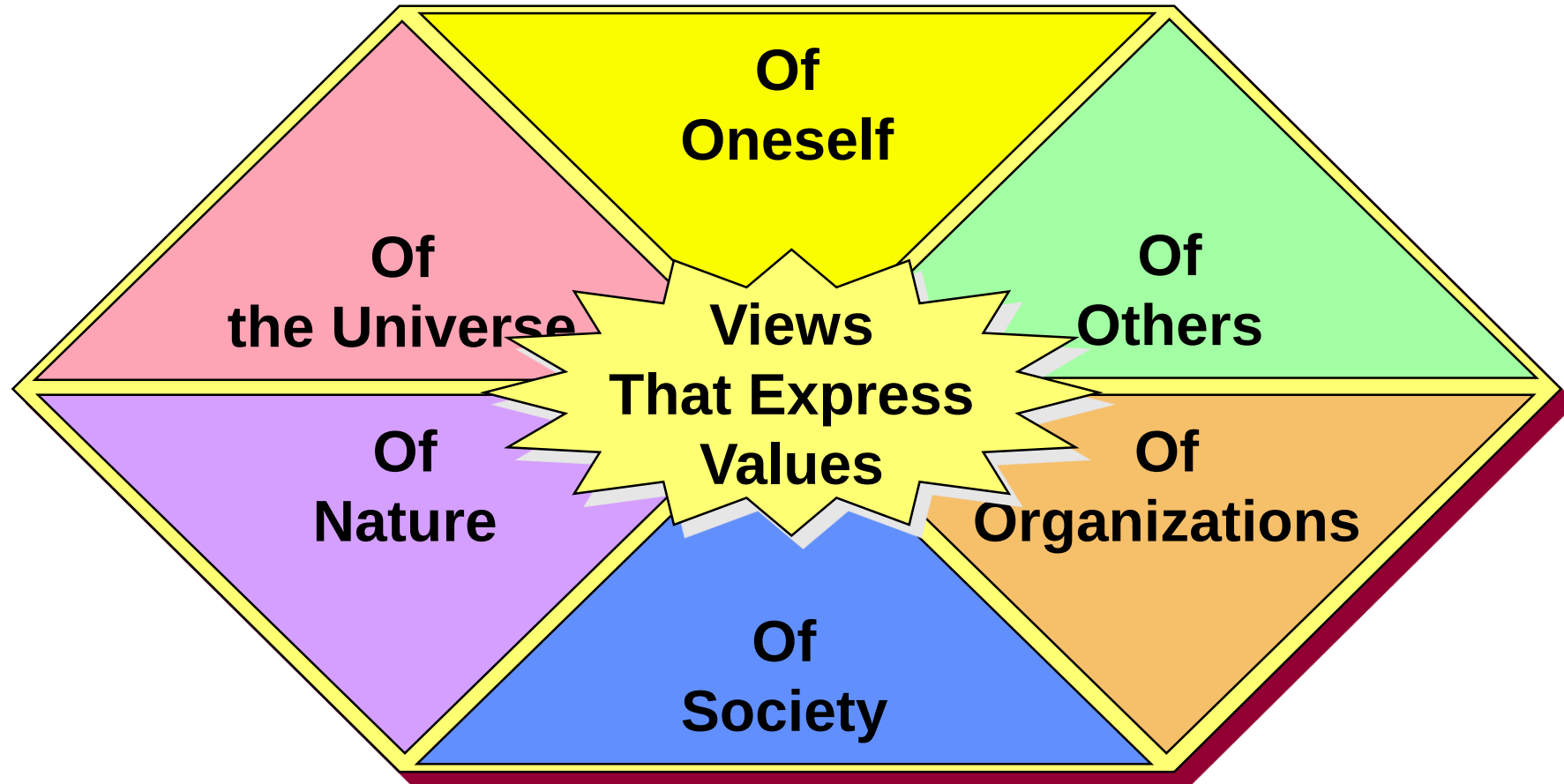
Political Environment

Increased Emphasis on Ethics and Socially Responsible Actions

- **Socially responsible behavior** occurs when firms actively seek out ways to protect the long-term interests of their consumers and the environment

© Yukinobu Zengame

Cultural Environment



The Company's Macroenvironment

Cultural Environment

The **cultural environment** consists of institutions and other forces that affect a society's basic values, perceptions, and behaviors.







The Company's Macroenvironment

Cultural Environment

Persistence of Cultural Values

- **Core beliefs and values** have a high degree of persistence, are passed on from parents to children, and are reinforced by schools, churches, businesses, and government.
- **Secondary beliefs and values** are more open to change.

The Company's Macroenvironment

Cultural Environment

Shifts in Secondary Cultural Values

- Major cultural values of a society are expressed in people's view of:
 - Themselves
 - Others
 - Organization
 - Society
 - Nature and the universe

The Company's Macroenvironment

Cultural Environment

Shifts in Secondary Cultural Values

- People's view of themselves
 - Do-It-Yourselfers—recent movers
 - Adventurers
- People's view of others

The Company's Macroenvironment

Cultural Environment

Shifts in Secondary Cultural Values

- People's view of organizations
- People's view of society
 - Patriots defend it
 - Reformers want to change it
 - Malcontents want to leave it

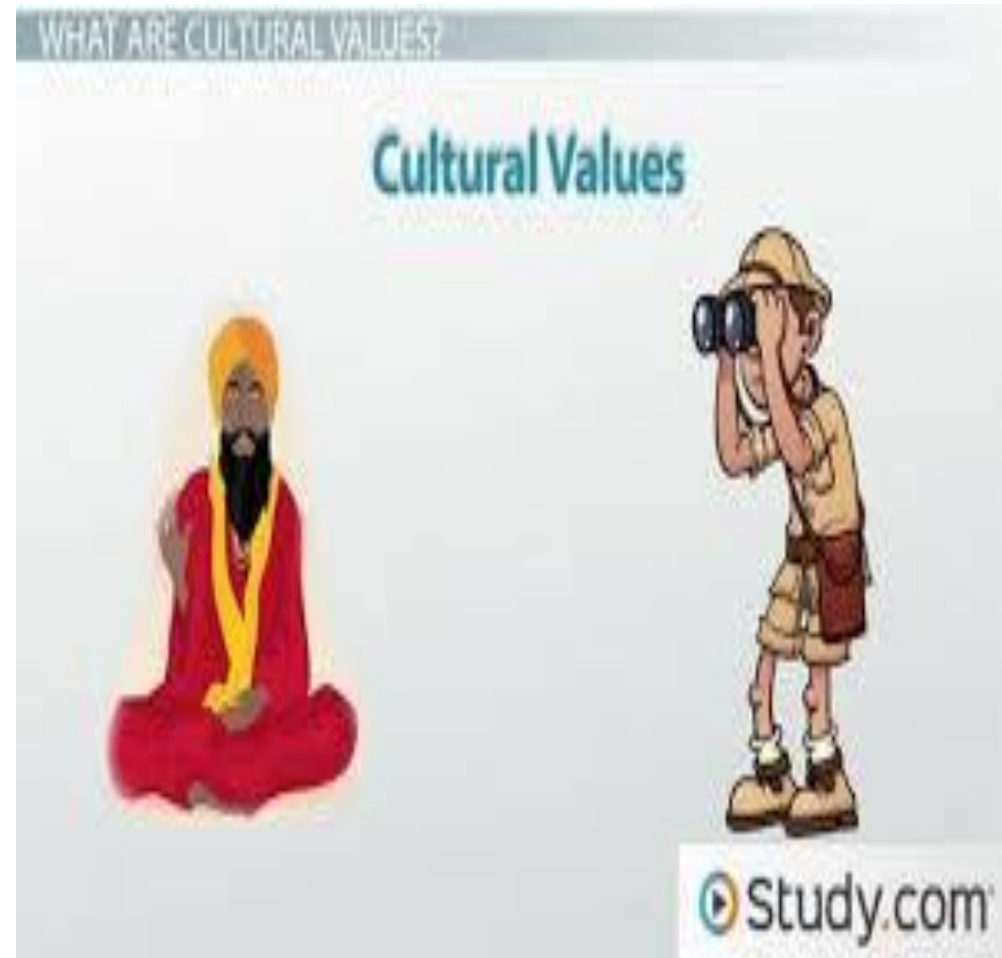


The Company's Macroenvironment

Cultural Environment

Shifts in Secondary Cultural Values

- People's view of nature
 - Some feel ruled by it
 - Some feel in harmony with it
 - Some seek to master it
- People's view of the universe
 - Renewed interest in spirituality



Responding to the Marketing Environment

Views on Responding

- **Uncontrollable**
 - Reacting and adapting to forces in the environment
- **Proactive**
 - Taking aggressive actions to affect forces in the environment
- **Reactive**
 - Watching and reacting to forces in the environment

Learning Objectives

After studying this lesson, you should be able to:

1. Define the consumer market and construct a simple model of consumer buyer behavior
2. Name the four major factors that influence consumer buyer behavior
3. List and understand the major types of buying decision behavior and the stages in the buyer decision process
4. Describe the adoption and diffusion process for new products

Outline

1. Model of Consumer Behavior
2. Characteristics Affecting Consumer Behavior
3. Types of Buying Decision Behavior
4. The Buyer Decision Process
5. The Buyer Decision Process for New Products
6. Consumer Behavior Across International Borders

Model of Consumer Behavior

- **Consumer buyer behavior** refers to the buying behavior of final consumers—individuals and households who buy goods and services for personal consumption.
- **Consumer market** refers to all of the personal consumption of final consumers.

Model of Consumer Behavior

Marketing stimuli consists of the 4 Ps

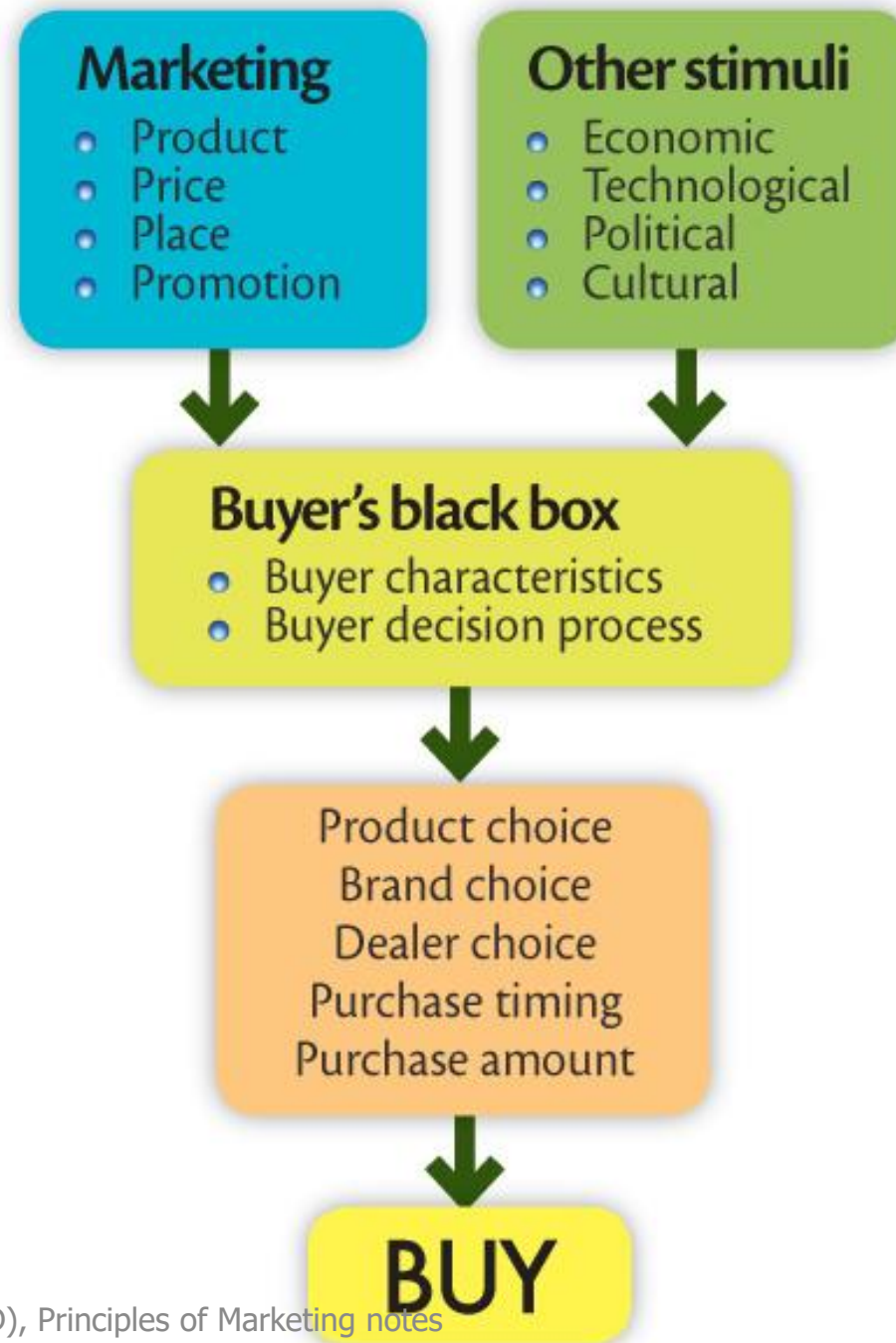
- Product
- Price
- Place
- Promotion



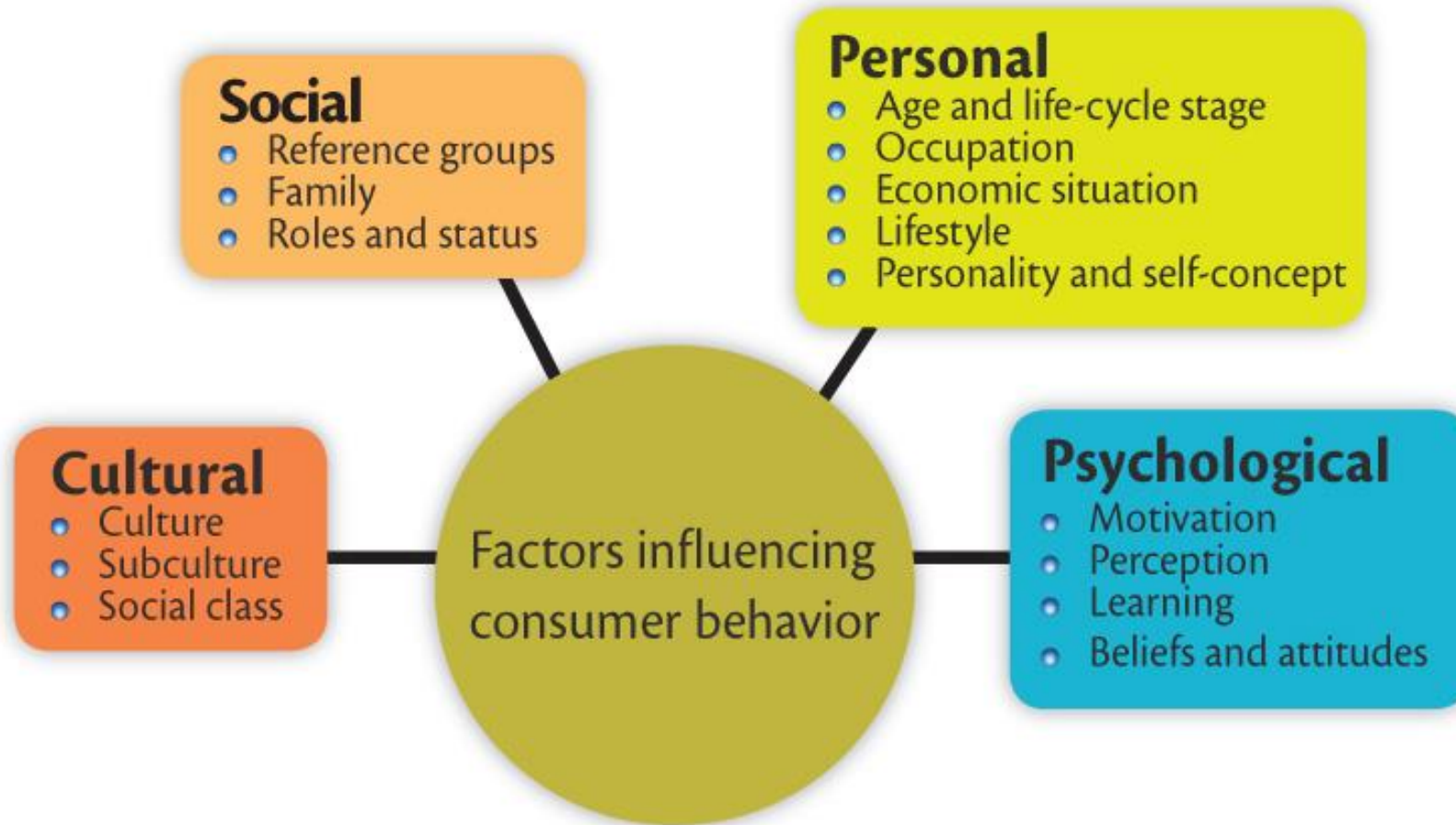
Other stimuli include:

- Economic forces
- Technological forces
- Political forces
- Cultural forces

Model of Consumer Behavior



Factors influencing Consumer Behavior



Characteristics Affecting Consumer Behavior

Cultural Factors

- Buyer's culture
- Buyer's subculture
- Buyer's social class



Social Factors

- Reference groups
- Family
- Roles and status



Characteristics Affecting Consumer Behavior

Personal Factors

- Age and life-cycle stage
- Occupation
- Economic situation
- Lifestyle
- Personality and self-concept

Psychological Factors

- Motivation
- Perception
- Learning
- Beliefs and attitudes

Characteristics Affecting Consumer Behavior



Culture is the learned values, perceptions, wants, and behavior from family and other important institutions.

Characteristics Affecting Consumer Behavior

Subcultures are groups of people within a culture with shared value systems based on common life experiences and situations.

- Chinese
- Indians
- Malays
- Eurasians

Characteristics Affecting Consumer Behavior

- **Social classes** are society's relatively permanent and ordered divisions whose members share similar values, interests, and behaviors.
 - Measured by a combination of occupation, income, education, wealth, and other variables



5-115

Characteristics Affecting Consumer Behavior

The major social classes:

- Upper class
- Middle class
- Working class
- Lower class



Characteristics Affecting Consumer Behavior

Social Factors

Groups

- **Membership groups** have a direct influence and to which a person belongs.
- **Aspirational groups** are groups to which an individual wishes to belong.
- **Reference groups** are groups that form a comparison or reference in forming attitudes or behavior.

Characteristics Affecting Consumer Behavior

Social Factors

Groups

- **Opinion leaders** are people within a reference group with special skills, knowledge, personality, or other characteristics that can exert social influence on others.
 - **Buzz marketing** enlists opinion leaders to spread the word.
 - **Social networking** is a new form of buzz marketing
 - MySpace.com
 - Facebook.com

Characteristics Affecting Consumer Behavior

Social Factors

- **Family** is the most important consumer-buying organization in society.
- **Social roles and status** are the groups, family, clubs, and organizations to which a person belongs that can define role and social status.

Characteristics Affecting Consumer Behavior

Personal Factors

- Personal characteristics
- Age and life-cycle stage
- Occupation
- Economic situation
- Lifestyle
- Personality and self-concept

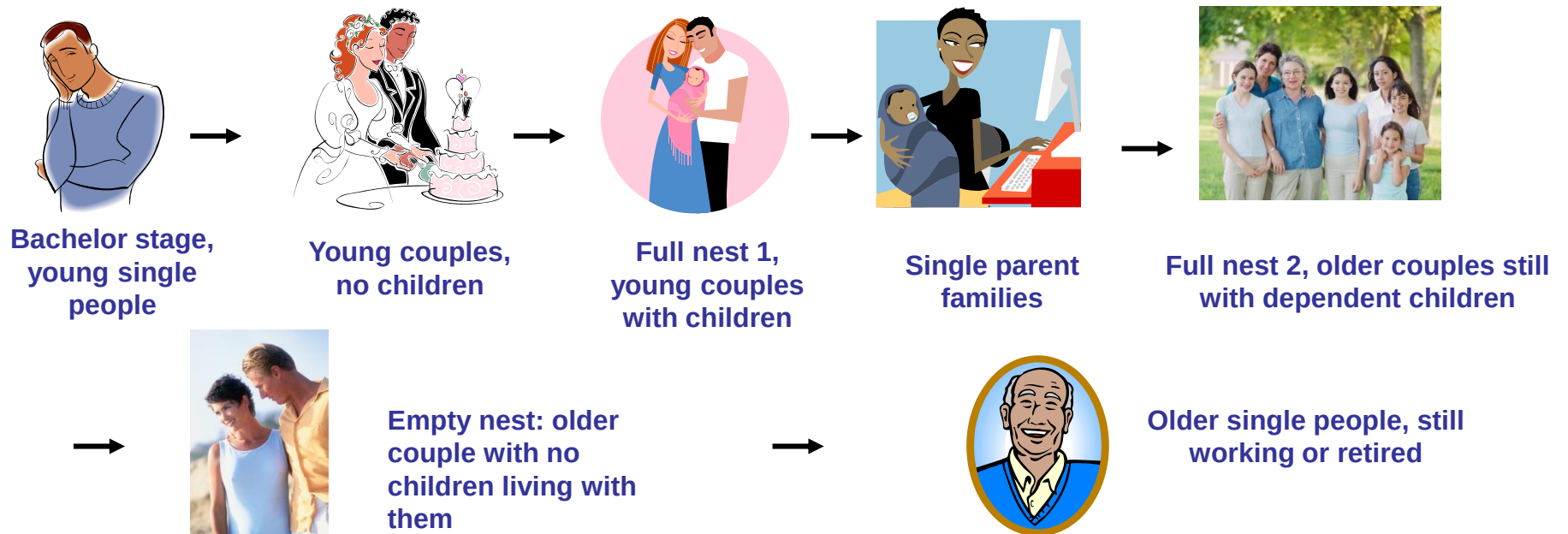
Characteristics Affecting Consumer Behavior

Personal Factors

Age and life-cycle stage

- Youth—younger than 18 years
- Getting started—18-35 years
- Builders—35-50 years
- Accumulators—50-60 years
- Preservers—over 60 years

Personal



Characteristics Affecting Consumer Behavior

Personal Factors

- **Occupation** affects the goods and services bought by consumers.
- **Economic situation** includes trends in:
 - Personal income
 - Savings
 - Interest rates



5-123

Characteristics Affecting Consumer Behavior

Personal Factors

- **Lifestyle** is a person's pattern of living as expressed in his or her psychographics.
 - Measures a consumer's AIOs (activities, interests, and opinions) to capture information about a person's pattern of acting and interacting in the environment.

Characteristics Affecting Consumer Behavior

Personal Factors

SRI Consulting's Values and Lifestyle (**VALS**) typology:

- Classifies people according to how they spend money and time:
 - Primary motivations
 - Resources

Characteristics Affecting Consumer Behavior

Personal Factors

Primary motivations

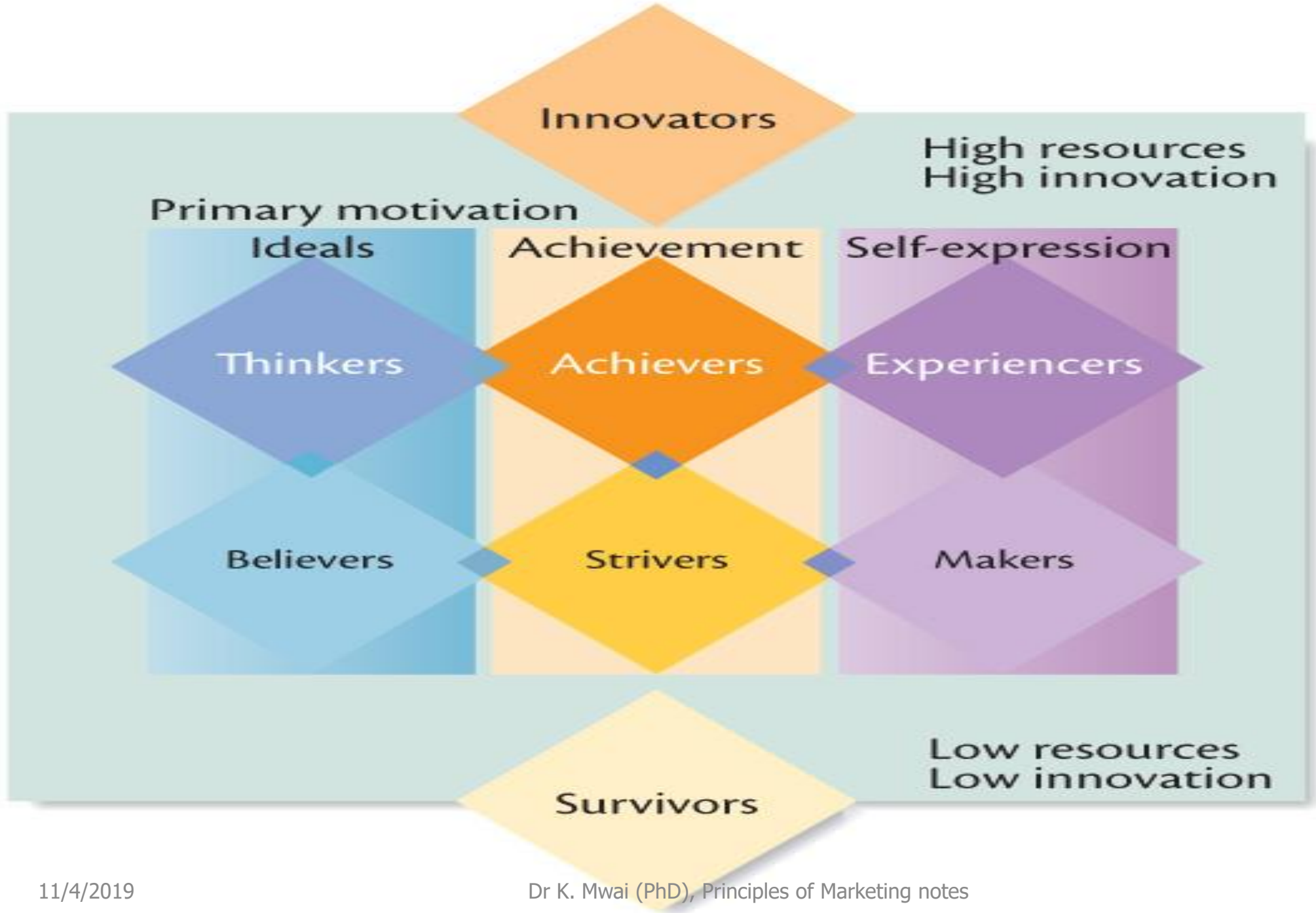
- Ideals
- Achievement
- Self-expression

Characteristics Affecting Consumer Behavior

Personal Factors

Resources

- High resources
 - Innovators exhibit all primary motivations.
- Low resources
 - Survivors do not exhibit strong primary motivation.



Characteristics Affecting Consumer Behavior

Personal Factors

Personality and Self-Concept

- **Personality** refers to the unique psychological characteristics that lead to consistent and lasting responses to the consumer's environment.

Characteristics Affecting Consumer Behavior

Personal Factors

Personality and Self-Concept

Brand personality refers to the specific mix of human traits that may be attributed to a particular brand:

- Sincerity
- Excitement
- Competence
- Sophistication
- Ruggedness



Characteristics Affecting Consumer Behavior

Personal Factors

Personality and Self-Concept

- **Self-concept** refers to people's possessions that contribute to and reflect their identities.



Characteristics Affecting Consumer Behavior

Psychological Factors

- Motivation
- Perception
- Learning
- Beliefs and attitudes

Characteristics Affecting Consumer Behavior

Psychological Factors

Motivation

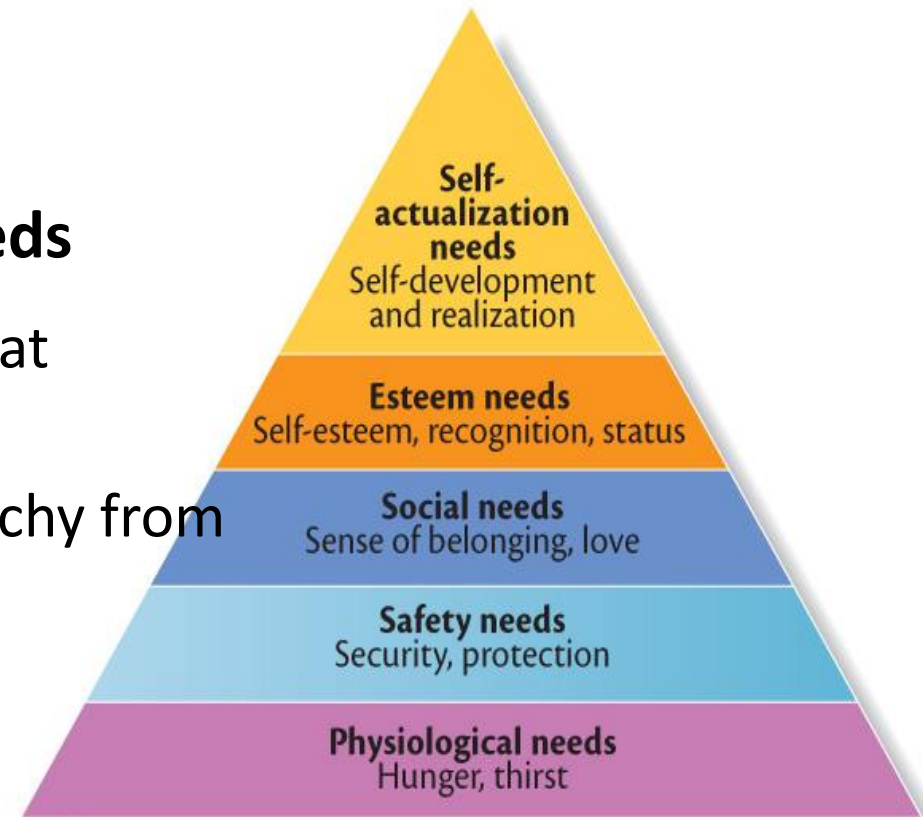
- A **motive** is a need that is sufficiently pressing to direct the person to seek satisfaction.
- **Motivation research** refers to qualitative research designed to probe consumers' hidden, subconscious motivations.

Characteristics Affecting Consumer Behavior

Psychological Factors

Abraham Maslow's Hierarchy of Needs

- People are driven by particular needs at particular times.
- Human needs are arranged in a hierarchy from most pressing to least pressing.



Characteristics Affecting Consumer Behavior

Psychological Factors

- **Perception** is the process by which people select, organize, and interpret information to form a meaningful picture of the world from three perceptual processes:
 - Selective attention
 - Selective distortion
 - Selective retention

Characteristics Affecting Consumer Behavior

Psychological Factors

- **Selective attention** is the tendency for people to screen out most of the information to which they are exposed.
- **Selective distortion** is the tendency for people to interpret information in a way that will support what they already believe.
- **Selective retention** is the tendency to remember good points made about a brand they favor and to forget good points about competing brands.

Characteristics Affecting Consumer Behavior

Psychological Factors

- **Learning** is the changes in an individual's behavior arising from experience and occurs through interplay of:
 - Drives
 - Stimuli
 - Cues
 - Responses
 - Reinforcement

Characteristics Affecting Consumer Behavior

Psychological Factors

Beliefs and Attitudes

- **Belief** is a descriptive thought that a person has about something based on:
 - Knowledge
 - Opinion
 - Faith

Characteristics Affecting Consumer Behavior

Psychological Factors

Beliefs and Attitudes

Attitudes describe a person's relatively consistent evaluations, feelings, and tendencies toward an object or idea.

Four Types of Buying Decision Behavior

- Complex buying behavior
- Dissonance-reducing buying behavior
- Habitual buying behavior
- Variety-seeking buying behavior



Types of Buying Decision Behavior

Complex Buying Behavior

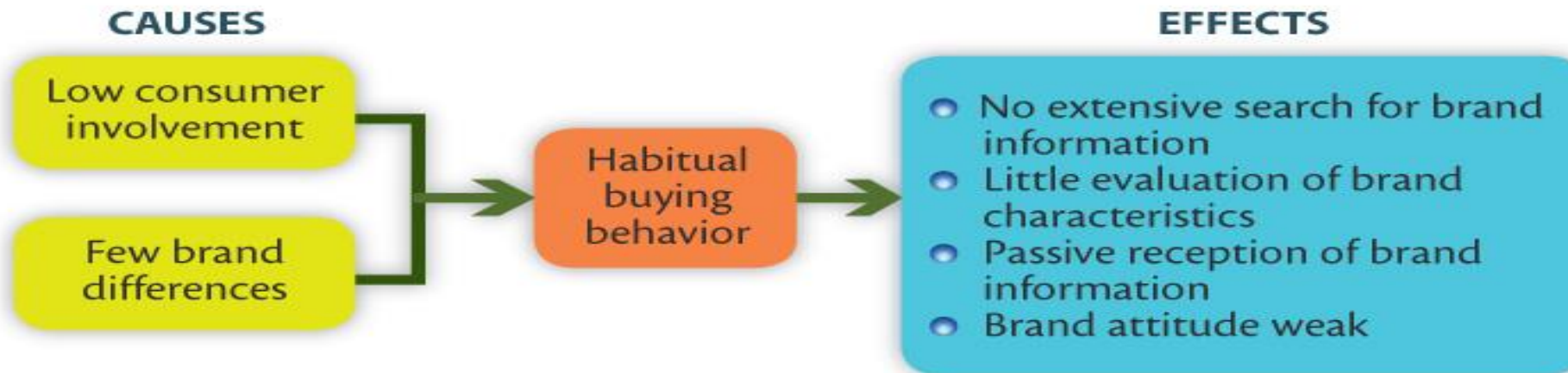
- Occurs when consumers are highly motivated in a purchase and perceive significant differences among brands.
- Purchasers are highly motivated when:
 - Product is expensive
 - Product is risky
 - Product is purchased infrequently
 - Product is highly self-expressive

Types of Buying Decision Behavior

- **Dissonance-reducing buying behavior** occurs when consumers are highly involved with an expensive, infrequent, or risky purchase, but see little difference among brands.
 - **Post-purchase dissonance** occurs when the consumer notices certain disadvantages of the product purchased or hears favorable things about a product not purchased.

Types of Buying Decision Behavior

- **Habitual buying behavior** occurs when consumers have low involvement and there is little significant brand difference.
- **Variety-seeking buying behavior** occurs when consumers have low involvement and there are significant brand differences.



The Buyer Decision Process

Five stages in the buyer decision process

1. Need recognition
2. Information search
3. Evaluation of alternatives
4. Purchase decision
5. Post-purchase behavior



The Buyer Decision Process

Need Recognition

- **Need recognition** occurs when the buyer recognizes a problem or need triggered by:
 - Internal stimuli
 - External stimuli

The Buyer Decision Process

Information Search

Information search is the amount of information needed in the buying process and depends on:

- The strength of the drive,
- The amount of information you start with,
- The ease of obtaining the information,
- The value placed on the additional information, and
- The satisfaction from searching.

The Buyer Decision Process

Information Search

Sources of information:

- **Personal sources**—family and friends
- **Commercial sources**—advertising, Internet
- **Public sources**—mass media, consumer organizations
- **Experiential sources**—handling, examining, using the product

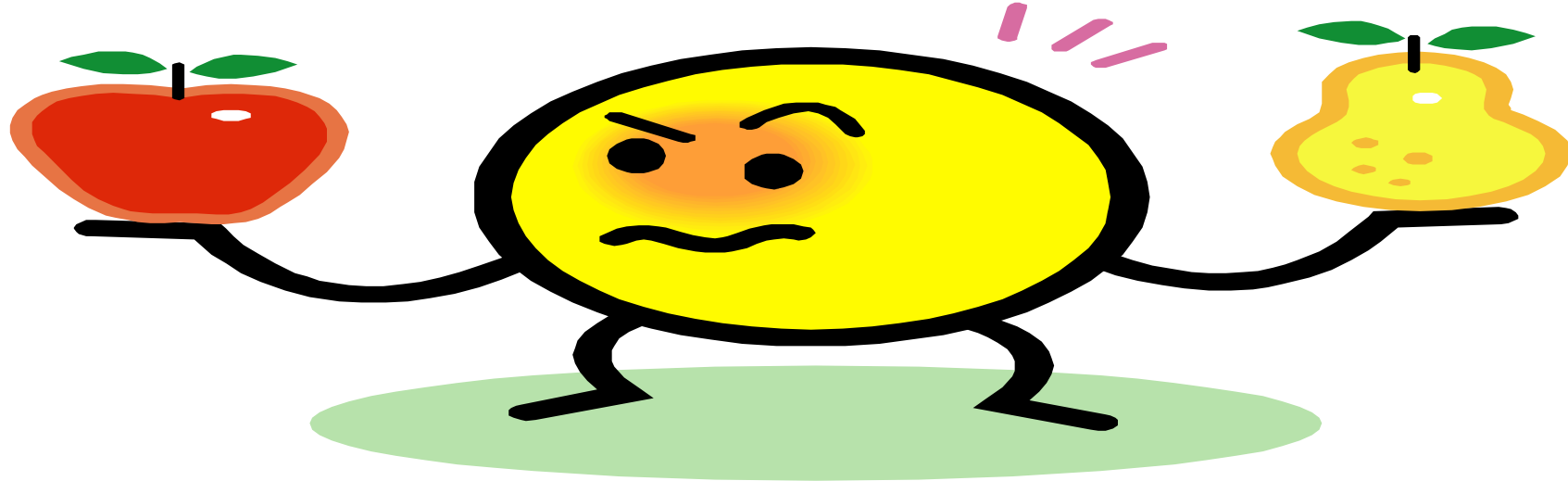
Sources and Role of Information

	Personal	Commercial	Public	Experiential
Sources of information	• Family • Friends • Neighbours • Acquaintances	• Advertising • Salespeople • Web sites • Dealers • Packaging • Display	• Mass media • Consumer-rating organizations • Internet searches	• Personal handling, examining, and use of brand
Role of information	Legitimize Evaluate	Inform	Inform	Evaluate

The Buyer Decision Process

Evaluation of Alternatives

Evaluation of alternatives is how the consumer processes information to arrive at brand choices.



The Buyer Decision Process

Purchase Decision

- The **purchase decision** is the act by the consumer to buy the most preferred brand.
- The purchase decision can be affected by:
 - Attitudes of others
 - Unexpected situational factors

The Buyer Decision Process

Post-Purchase Decision

- The **post-purchase decision** is the satisfaction or dissatisfaction the consumer feels about the purchase.
- Relationship between:
 - Consumer's expectations
 - Product's perceived performance

The Buyer Decision Process

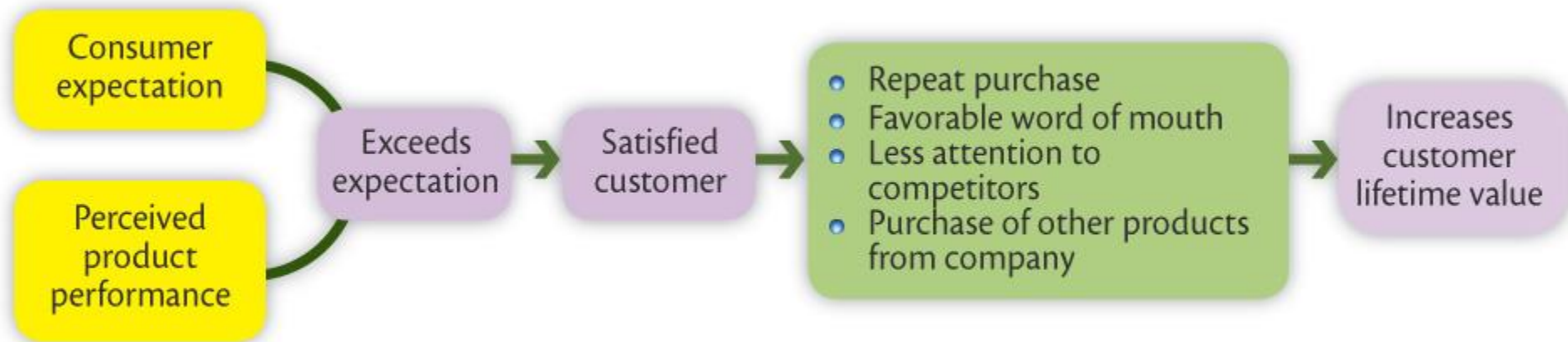
Post-Purchase Decision

- The larger the gap between expectation and performance, the greater the consumer's dissatisfaction.
- **Cognitive dissonance** is the discomfort caused by a post-purchase conflict

The Buyer Decision Process

Post-Purchase Decision

- **Customer satisfaction** is a key to building profitable relationships with consumers—to keeping and growing consumers and reaping their customer lifetime value.



The Buyer Decision Process for New Products

- **New product** is a good, service, or idea that is perceived by some potential customers as new.
- **Adoption process** is the mental process an individual goes through from first learning about an innovation to final regular use.

The Buyer Decision Process for New Products

Stages in the Adoption Process

1. Awareness
2. Interest
3. Evaluation
4. Trial
5. Adoption

The Buyer Decision Process for New Products

Stages in the Adoption Process



- **Awareness** is when the consumer becomes aware of the new product but lacks information.
- **Interest** is when the consumer seeks information about the new product.

The Buyer Decision Process for New Products

Stages in the Adoption Process

- **Evaluation** is when the consumer considers whether trying the new product makes sense.
- **Trial** is when the consumer tries the new product to improve his or her estimate of value.
- **Adoption** is when the consumer decides to make full and regular use of the product

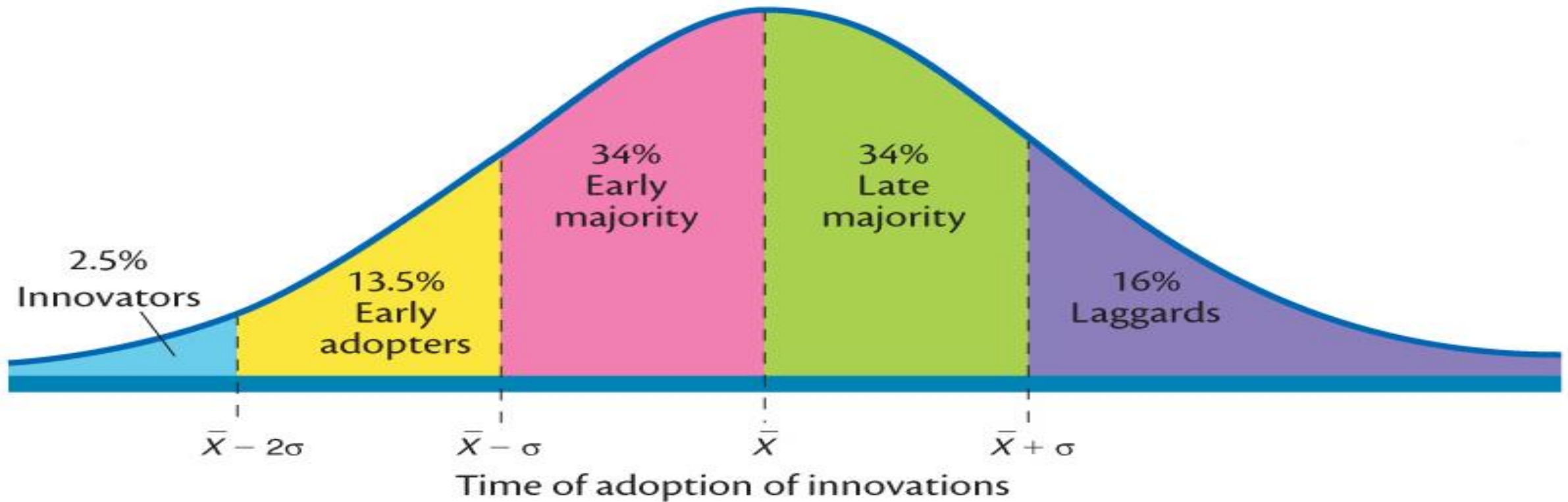
The Buyer Decision Process for New Products

Individual Differences in Innovation

- **Early adopters** are opinion leaders and adopt new ideas early but cautiously.
- **Early majority** are deliberate and adopt new ideas before the average person.
- **Late majority** are skeptical and adopt new ideas only after the majority of people have tried it.
- **Laggards** are suspicious of changes and adopt new ideas only when they become tradition.

The Buyer Decision Process for New Products

Individual Differences in Innovation



5-159

The Buyer Decision Process for New Products

Influence of Product Characteristics on Rate of Adoption

- **Relative advantage** is the degree to which an innovation appears to be superior to existing products.
- **Compatibility** is the degree to which an innovation fits the values and experiences of potential consumers.

The Buyer Decision Process for New Products

Influence of Product Characteristics on Rate of Adoption

- **Complexity** is the degree to which the innovation is difficult to understand or use.
- **Divisibility** is the degree to which the innovation may be tried on a limited basis.

Consumer Behavior Across International Borders

- Differences can include:
 - Values
 - Attitudes
 - Behaviors
- The question for marketers is whether to adapt or standardize the marketing.

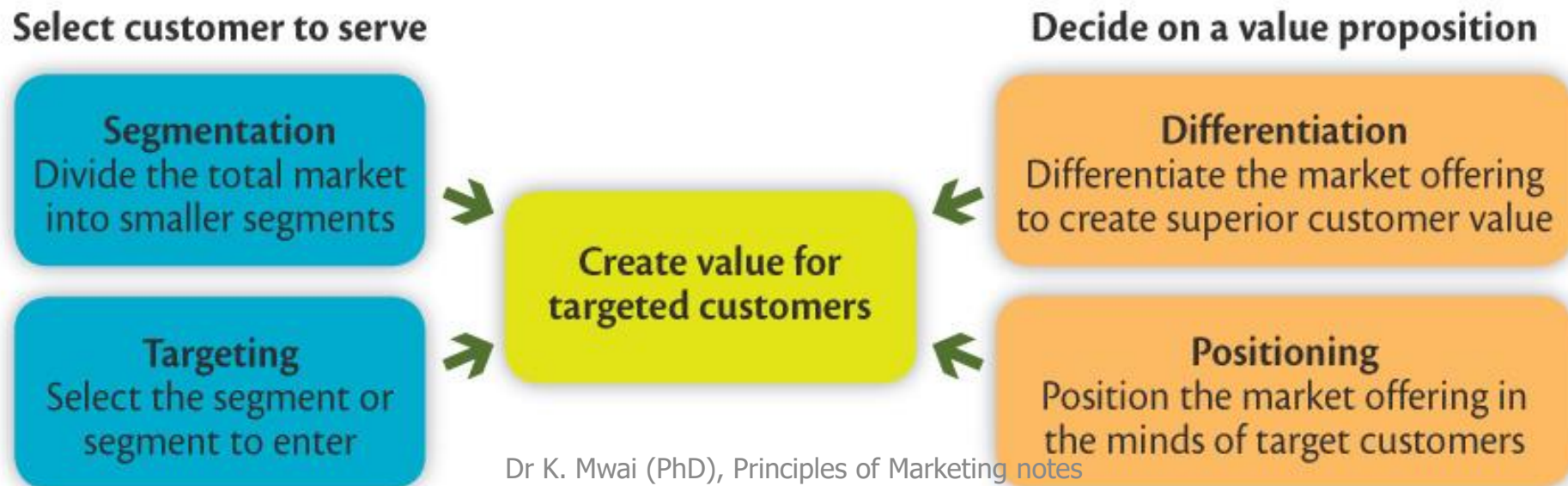
Learning Objectives

After studying this chapter, you should be able to:

1. Define the four steps in designing a customer-driven market strategy:
market segmentation, market targeting, differentiation, and market positioning
2. List and discuss the major bases for segmenting consumer and business markets (**S**)
3. Explain how companies identify attractive consumer and business markets (**T**)
4. Discuss how companies position their products for maximum competitive advantage in the marketplace (**P**)

lesson Concepts:

1. **Market Segmentation**
2. **Marketing Targeting**
3. **Differentiation**
4. **Positioning for Competitive Advantage**



Market Segmentation

Market segmentation is the process that companies use to divide large heterogeneous markets into small markets that can be reached more efficiently and effectively with products and services that match their unique needs.

- (1) Use a variety of different meaningful variables (bases) for segmenting*
- (2) Segments can be better reached with the resources of the marketer*

Market Segmentation

- Segmenting
 1. Consumer markets
 2. Business markets
 3. International markets
- Requirements for effective segmentation

Market Segmentation

Segmenting Consumer Markets

Marketers try different segmentation variables, alone and in combination, to find the best way to view the market structure.

- Geographic segmentation
- Demographic segmentation
- Psychographic segmentation
- Behavioral segmentation

Market Segmentation

Segmenting Consumer Markets

- **Geographic** segmentation divides the market into different geographical units such as nations, regions, states, counties, cities, or even neighborhoods.

Localizing products, advertising, promotion, and sales efforts to fit the needs of individual regions, cities, ...

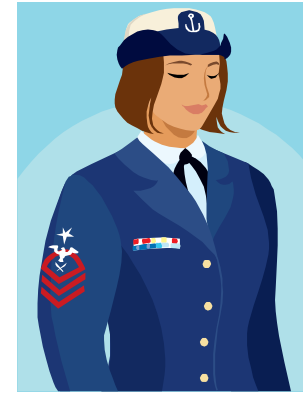


7-169
Geographic Segmentation - by nations
Dr K. Mwai (PhD), Principles of Marketing notes

Market Segmentation

Segmenting Consumer Markets

- **Demographic segmentation** divides the market into groups based on variables such as age, gender, family size, family life cycle, income, occupation, education, religion, race, generation, and nationality.
- (1) *Consumer needs, wants, and usage rates often vary closely with demographic variables;*
- (2) *Easier to measure than other variables;*



Demographic segmentation - occupation

7-171

Market Segmentation

Segmenting Consumer Markets

- **Age and life-cycle** stage segmentation is the process of offering different products or using different marketing approaches for different age and life-cycle groups.
- **Gender** segmentation divides the market based on sex (male or female).
- **Income** segmentation divides the market into affluent or low-income consumers.

Be careful to guard against stereotypes when using age and life-cycle segmentation.

Age is a poor predictor of a person's life cycle, health, work or family status, needs and buying power.

What are the traditional family life-cycle stages?

- Young singles
- Married couples with children

What are the non-traditional family life-cycle stages? (Marketers are increasingly catering to...)

- Unmarried couples
- Singles marrying later in life
- Childless couples
- Same-sex couples
- Single parents
- Extended parents (those with young children returning home)

7-173



Age & Life Cycle Segmentation – families with young children

7-174

Market Segmentation

Segmenting Consumer Markets

Psychographic segmentation divides buyers into different groups based on social class, lifestyle, or personality traits.



Market Segmentation

Segmenting Consumer Markets

- **Behavioral** segmentation divides buyers into groups based on their knowledge, attitudes, uses, or responses to a product.
 - Occasion
 - Benefits sought
 - User status
 - Usage rate
 - Loyalty status

Market Segmentation

Segmenting Consumer Markets

- **Occasion** segmentation divides buyers into groups according to occasions *when they get the idea to buy, actually make purchases, or respond to a product.* – help build up product usage
- **Benefit** segmentation requires finding the *major benefits people look for in the product class, the kinds of people who look for each benefit, and the major brands that deliver each benefit.*



Occasion Segmentation – consumers buy special items for occasions like birthdays

7-178

Market Segmentation

Segmenting Consumer Markets

- **User status** divides buyers into ex-users, potential users, first-time users, and regular users of a product.
- **Usage rate** divides buyers into light, medium, and heavy product users.
- **Loyalty status** divides buyers into groups according to their degree of loyalty.

Market Segmentation

Segmenting Consumer Markets

- **Loyalty status** divides buyers into groups according to their degree of loyalty.



Market Segmentation

Using Multiple Segmentation Bases

- **Multiple** segmentation is used to identify smaller, better-defined target groups.
- **Geodemographic** segmentation is an example of multivariable segmentation that divides groups into consumer lifestyle patterns.

Explain which basis would be most important to marketers of Vitamins

- **Demographic segmentation** – age and gender
- **Psychographic segmentation** – very active or “extreme” lifestyle individuals
- **Behavioral segmentation** – benefits sought, with some having calcium, vitamin B12, and even nutraceutical or herbal components

Explain which basis would be most important to marketers of Credit Cards

- **Demographic segmentation** – income (gold and platinum cards)
- **Behavioral segmentation** – usage rate (the higher usage rate customers are more profitable and appealing), user status (users of competing cards or banks)

Market Segmentation

Segmenting Business Markets

- Business buyers can be segmented using many of the same variables as consumers:
 - Geographically
 - Demographically (industry, company size)
 - Behaviorally (benefits sought, user status, usage rate, and loyalty status)

Market Segmentation

Segmenting Business Markets

- Business buyers can also be segmented by:
 - Customer-operating characteristics
 - Purchasing approaches
 - Situational factors
 - Personal characteristics

Market Segmentation

Segmenting International Markets

- Geographic location – *regions*
- Economic factors – *population income levels or overall level of economic development*
- Political and legal factors – *the type and stability of government, receptivity to foreign firms, monetary regulations, and the amount of bureaucracy*
- Cultural factors – *common language, religions, values and attitudes, customs, and behavioral patterns*

Market Segmentation

Segmenting International Markets

- **Intermarket** segmentation divides consumers into groups with similar needs and buying behaviors even though they are located in different countries.



Intermarket segmentation – whether Japanese, Chinese, Thais, or Indians, they all consume rice

7-18,

Market Segmentation

Requirements for Effective Segmentation

- To be useful, a market segment must be:
 - Measurable
 - Accessible
 - Substantial
 - Differentiable
 - Actionable

Market Segmentation

Requirements for Effective Segmentation

- **Measurable:** Examples include the size, purchasing power, and profiles of the segments
- **Accessible:** Refers to the fact that the market can be effectively reached and served
- **Substantial:** Refers to the fact that the markets are large and profitable enough to serve

Market Segmentation

Requirements for Effective Segmentation

- **Differentiable:** Refers to the fact that the markets are conceptually distinguishable and respond differently to marketing mix elements and programs
- **Actionable:** Refers to the fact that effective programs can be designed for attracting and serving the segments

Market Targeting

Evaluating Market Segments

- Segment size and growth
- Segment structural attractiveness
- Company objectives and resources

Market Targeting

Evaluating Market Segments

- **Segment size and growth:**
 - Smaller versus larger segments
 - Growth potential

Market Targeting

Evaluating Market Segments

- **Segment structural attractiveness:**
 - Competition
 - Substitute products
 - Power of buyers
 - Power of suppliers

Market Targeting

Evaluating Market Segments

- **Company objectives and resources:**
 - Competitive advantage
 - Availability of resources
 - Consistent with company objectives

Market Targeting

Selecting Target Market Segments

A target market consists of a set of buyers who share common needs or characteristics that the company decides to serve

Four market-coverage strategy

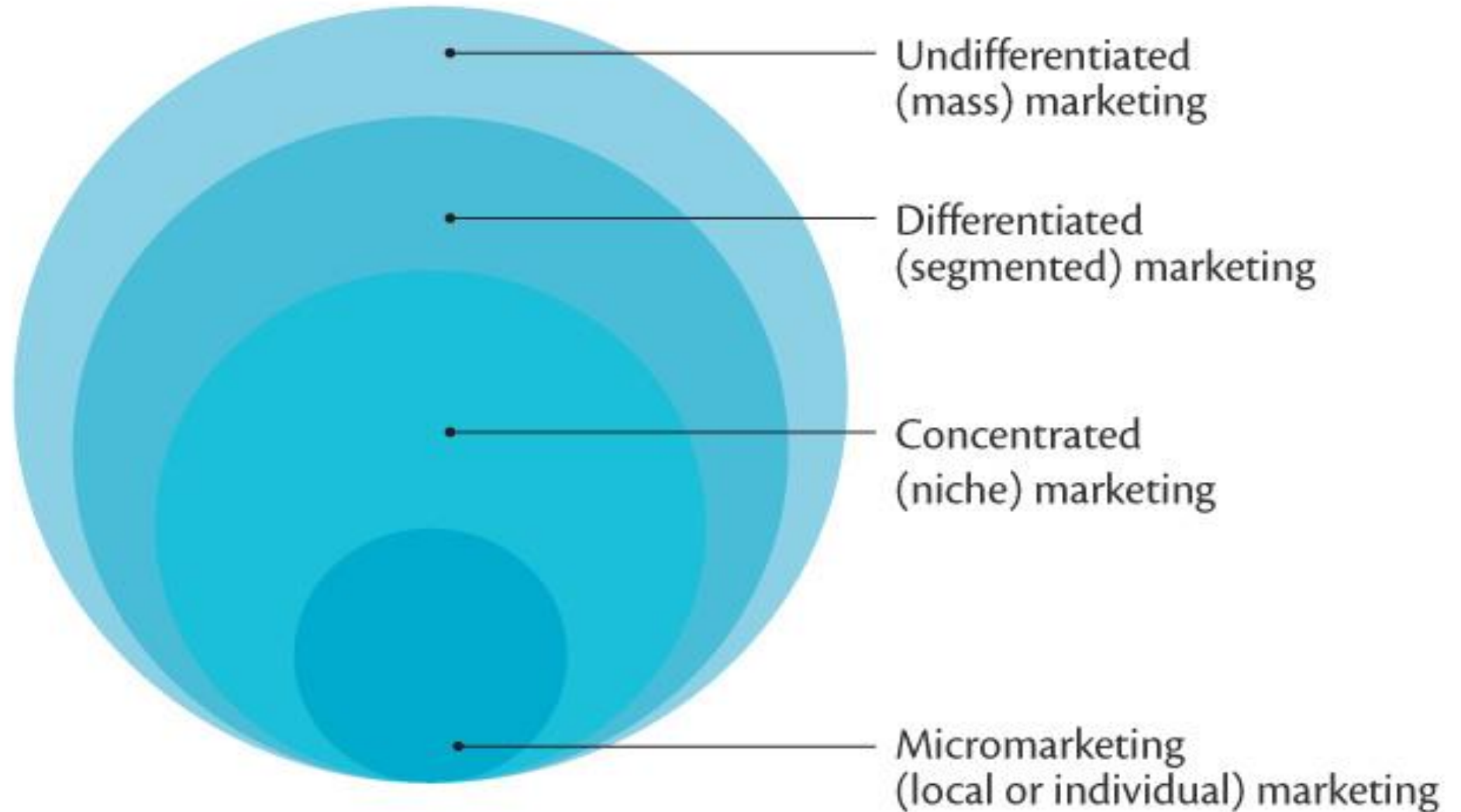
- Undifferentiated (or mass) marketing
- Differentiated (or segmented) marketing
- Concentrated (or niche) marketing
- Micromarketing

Market Targeting

Targeting broadly



Targeting narrowly



Market Targeting

Undifferentiated marketing targets the whole market with one offer.

- Mass marketing
- Focuses on common needs rather than what's different

Market Targeting

Differentiated marketing targets several different market segments and designs separate offers for each.

- Goal is to achieve higher sales and stronger position
- More expensive than undifferentiated marketing
 - Extra marketing research
 - Forecasting, sales analysis, promotion, planning, and channel management
 - Extra promotion, advertising



Differentiated marketing – Colgate targets different market segments with different types of toothpaste.

Market Targeting

Concentrated marketing targets a small share of a large market; the marketer goes after a large share of one or a few niches.

- Niche marketing
- Appealing when
 - Limited resources
 - Greater knowledge of consumer needs in the niches
 - Special reputation
- More effective and efficient
- Higher-than-normal risks

Market Targeting

Micromarketing is the practice of tailoring products and marketing programs to suit the tastes of specific individuals and locations.

- Local marketing
- Individual marketing



© Stephan Mosel



BK Double Rendang



© Gene Lee



Micromarketing – fast food chains like Burger King introduce rendang burgers in Singapore and Malaysia, where local palates prefer spicy food.

Market Targeting

Local marketing involves tailoring brands and promotion to the needs and wants of local customer groups (cities, neighborhoods and stores).

- Benefits of local marketing
 - Increased marketing effectiveness in competitive markets
 - More customer-specific offerings
- Challenges of local marketing
 - Increased manufacturing and marketing costs
 - Less economy of scale
 - Logistics
 - Dilution of company image

Market Targeting

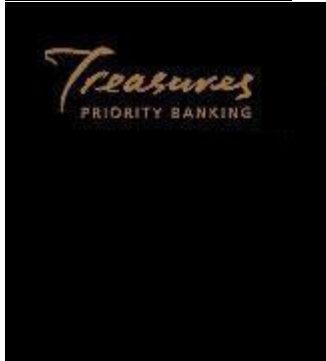
Individual marketing involves tailoring products and marketing programs to the needs and preferences of individual customers.

- Also known as:
 - One-to-one marketing
 - Mass customization
 - Markets-of-one marketing

Market Targeting

Mass customization is the process through which firms interact one-to-one with masses of customers to design products and services tailor-made to meet individual needs.

- Has made relationships with customers important in the new economy
- Provides a way to distinguish the company against competitors



Mass customization by banks to reach groups of customers who hold large sums of savings and investments with the bank

HSBC  PREMIER



Market Targeting

Choosing a Targeting Strategy

Depends on:

- Company resources
- Product variability
- Product life-cycle stage
- Market variability
- Competitor's marketing strategies

Market Targeting

Which targeting strategy is best:

1. When the firm's resources are limited
2. Uniform products such as grapefruit or steel
3. Products that vary in design such as cameras and automobiles
4. When a firm introduces a new product
5. Most buyers have the same tastes, buy the same amounts, react the same way to marketing efforts
6. When competitors use differentiated marketing

Market Targeting

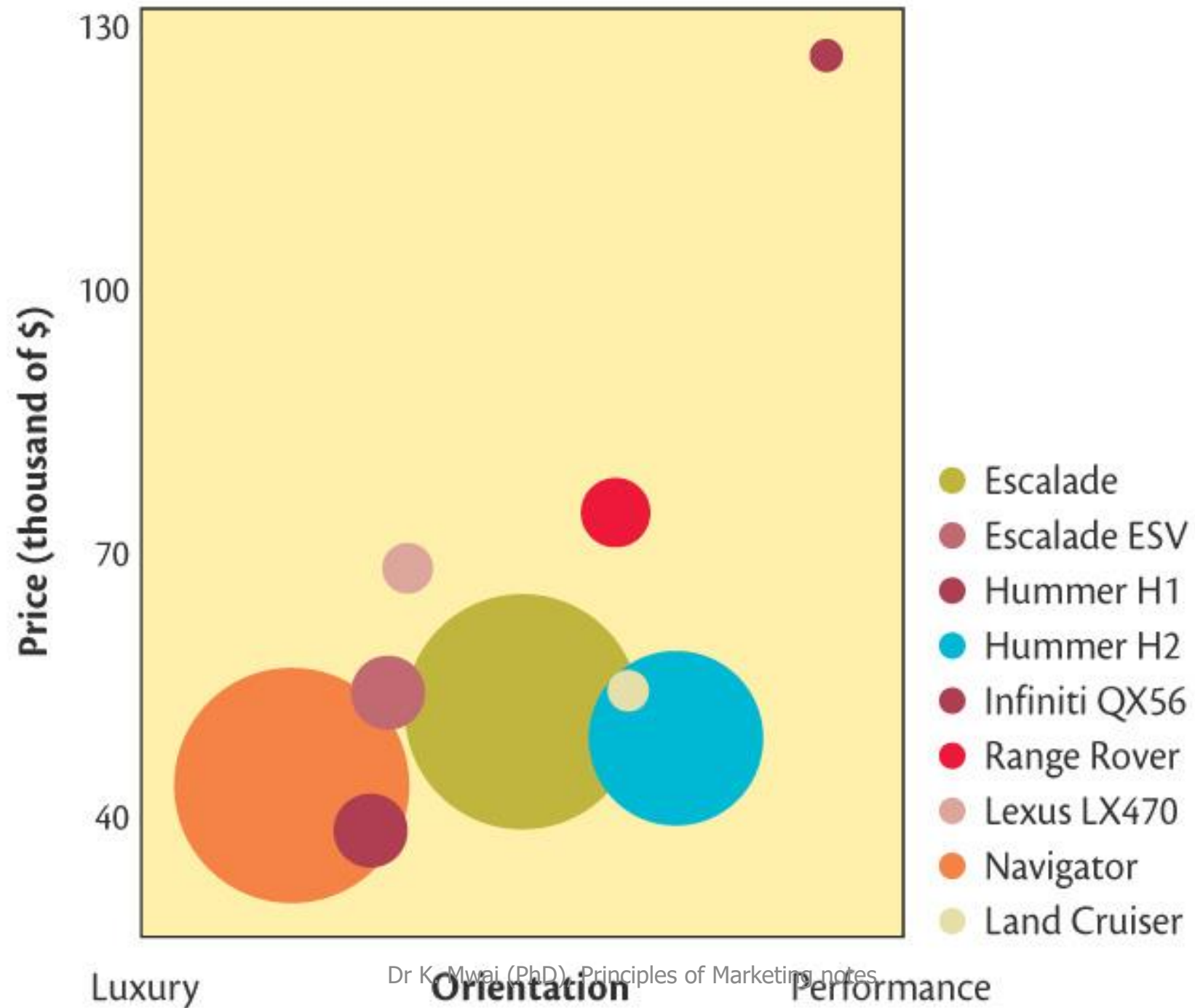
Socially Responsible Target Marketing

- Concerned with the issues of targeting vulnerable or disadvantaged consumers with controversial or potentially harmful products
- Vulnerable segments: children, minorities
- Controversial products: alcohol, cigarettes, fast-food
- Benefits both company and targeted customers with specific needs

Differentiation and Positioning

- **Product position** is the way the product is defined by consumers on important attributes—the place the product occupies in consumers' minds relative to competing products.
 - Perceptions
 - Impressions
 - Feelings

- # Differentiation and Positioning
- **Positioning maps** show consumer perceptions of their brands versus competing products on important buying dimensions.
 - Price and orientation



Differentiation and Positioning

Choosing a Differentiation and Positioning Strategy

- Identifying a set of possible competitive advantages to build a position
- Choosing the right competitive advantages
- Selecting an overall positioning strategy

Competitive advantage is the advantage over competitors gained by offering greater value either through lower prices or by providing more benefits that justify higher prices

Differentiation and Positioning

Choosing a Differentiation and Positioning Strategy

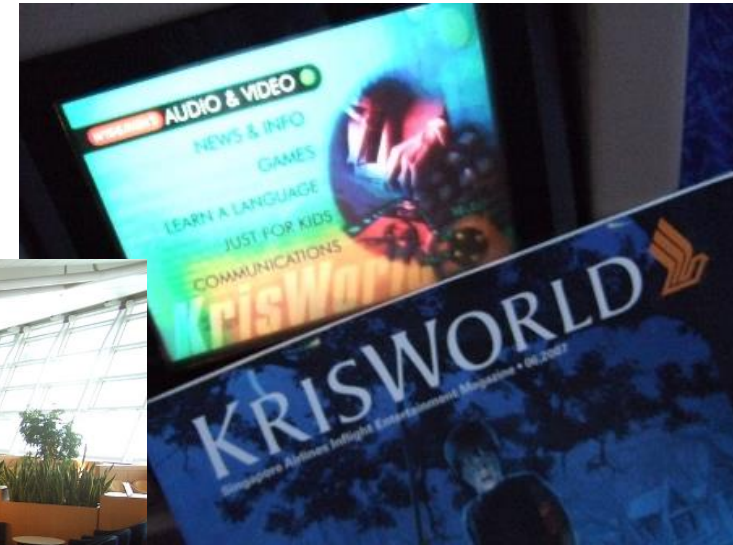
Step 1: Identifying a set of possible competitive advantages to build a position by providing superior value from:

- Product differentiation *on features, performance, style or design*
- Service differentiation *through speedy, convenient, or careful delivery*
- Channels - *coverage, expertise, and performance*
- People – *hiring and training better people*
- Image – *company or brand image*



© Rick Hall

© Nakedsky.org



© James Cridland

Singapore Airlines may charge a higher price, but provides excellent services – product and service differentiation.



© juandazeng | Flickr.com

Differentiation and Positioning

Step 2: Choosing the Right Competitive Advantages

- A difference is worth establishing to the extent that it satisfies the following criteria:
 - **Important** – *delivers a highly valued benefit to target buyers*
 - *Distinctive* – *offers in a more distinctive way*
 - *Superior* – *superior to other ways*
 - *Communicable* – *visible to buyers*
 - *Preemptive* – *cannot easily be copied*
 - *Affordable* – *buyers can pay for the difference*
 - *Profitable*

Differentiation and Positioning

Step 3: Selecting an Overall Strategy

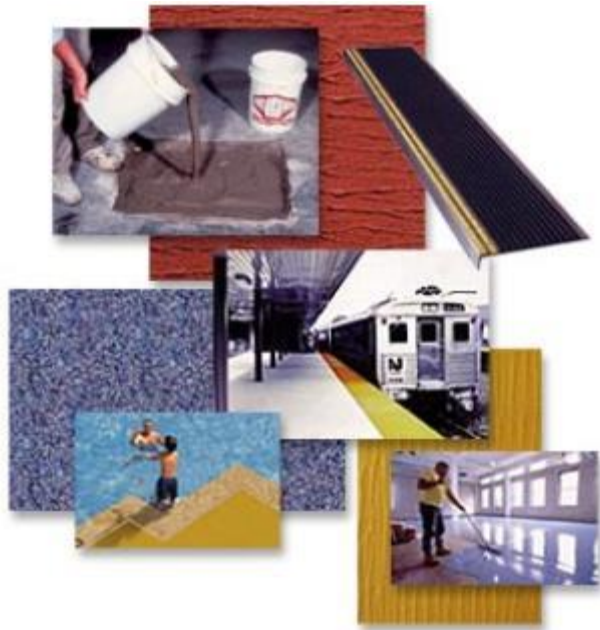
- **Value proposition** is the full mix of benefits upon which a brand is positioned.
 - *More for more*
 - *More for the same*
 - *Same for less*
 - *Less for much less*
 - *More for less*

		Price		
		More	The same	Less
Benefits	More	More for more	More for the same	More for less
	The same			The same for less
	Less			Less for much less

Positioning for a Competitive Advantage

Developing a Positioning Statement

- **Positioning statement** states the product's membership in a category and then shows its point-of-difference from other members of the category.
- “To (target segment and need), our (brand) is (concept) that (point of difference).”
- To busy professionals who need to stay organized, Palm is an electronic organizer that allows you to backup files on your PC more easily and reliably than competitive products



Product Decisions Product Development Product Lifecycle

Product Management

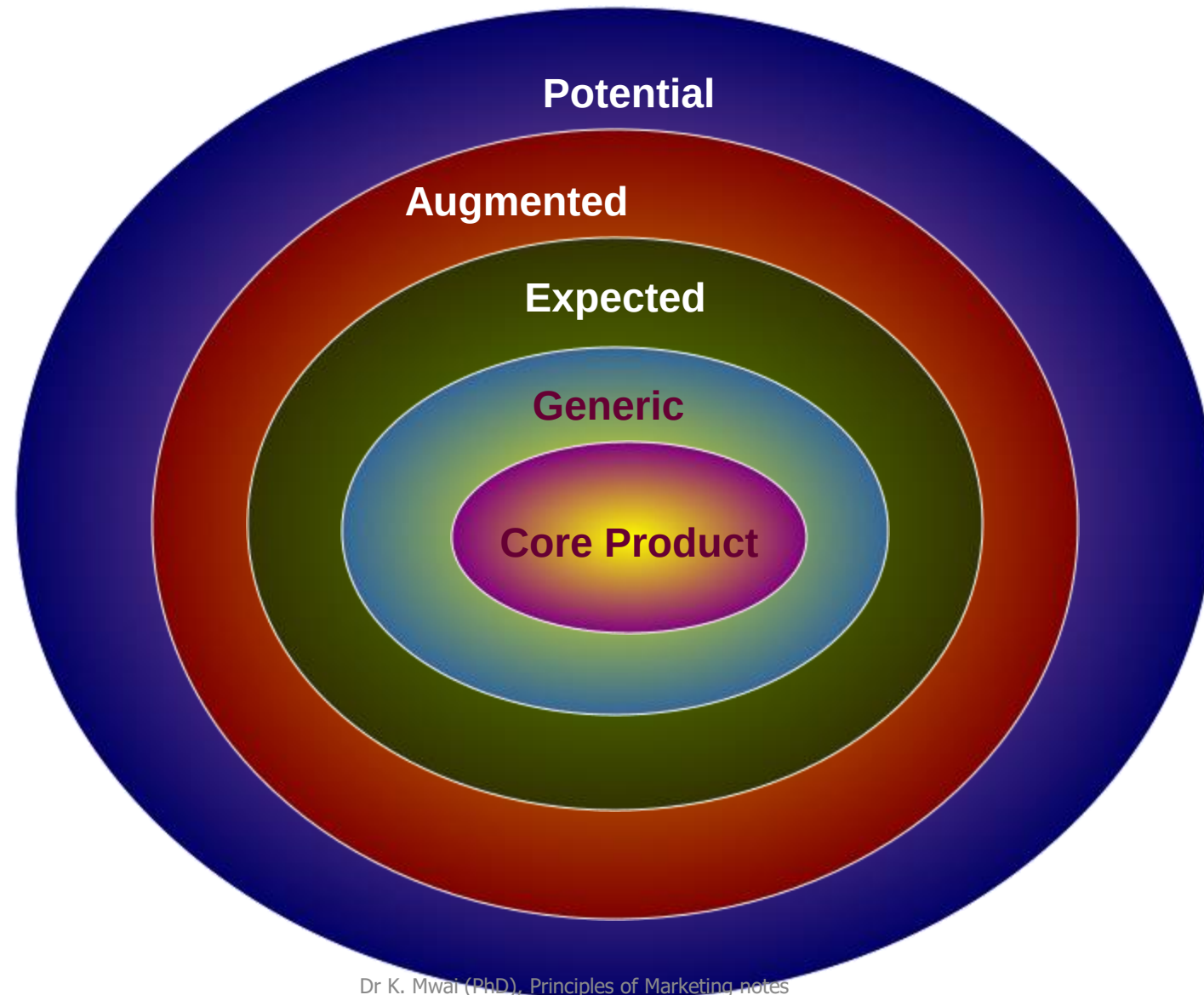
- **Product**

A product is something which is brought to the market for attention, acquisition and buying

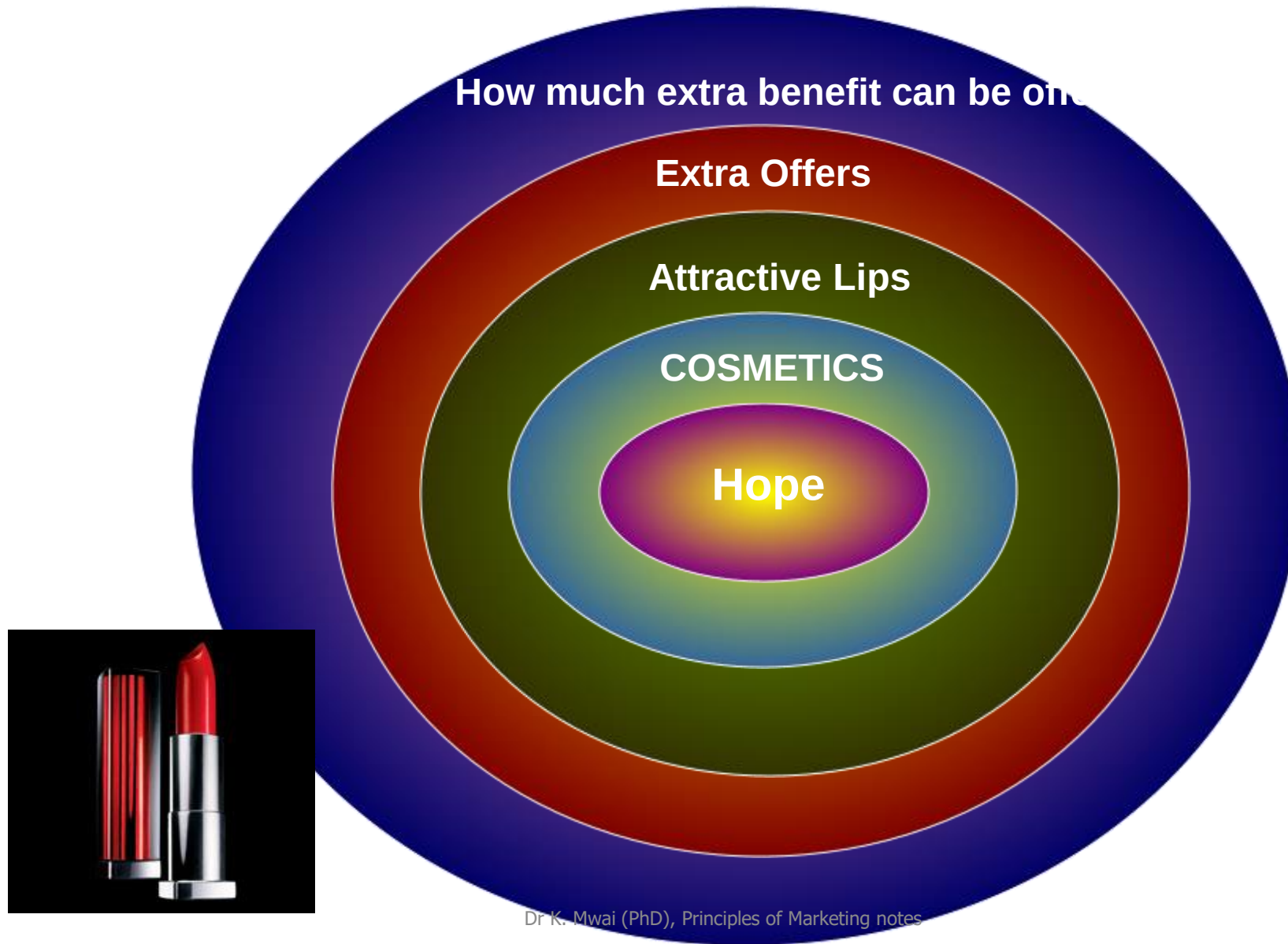
- **Product & Service**

In marketing, a product can be tangible or intangible. Tangible products are called as goods and intangible products are called as services

Levels of Product



Levels of Product



LEVELS OF A PRODUCT

CORE BENEFIT The core benefit is the fundamental need or wants that the customer satisfies when they buy the product. For example, the core benefit of a bank account could be for saving purposes or loans to businesses or individuals. 5

GENERIC PRODUCT The generic product is a basic version of the product made up of only those features necessary for it to function. In our bank example, this could be a Unique Account Number with a Check Book or an ATM. 6

EXPECTED PRODUCT The expected product is the set of features that the customers expect when they buy the product. In our bank example, this could be access to a network of branches countrywide.

AUGMENTED PRODUCT The augmented product refers to any product variations, extra features, or services that help differentiate the product from its competitors. In our bank example this could be a versatile mobile banking application. 8

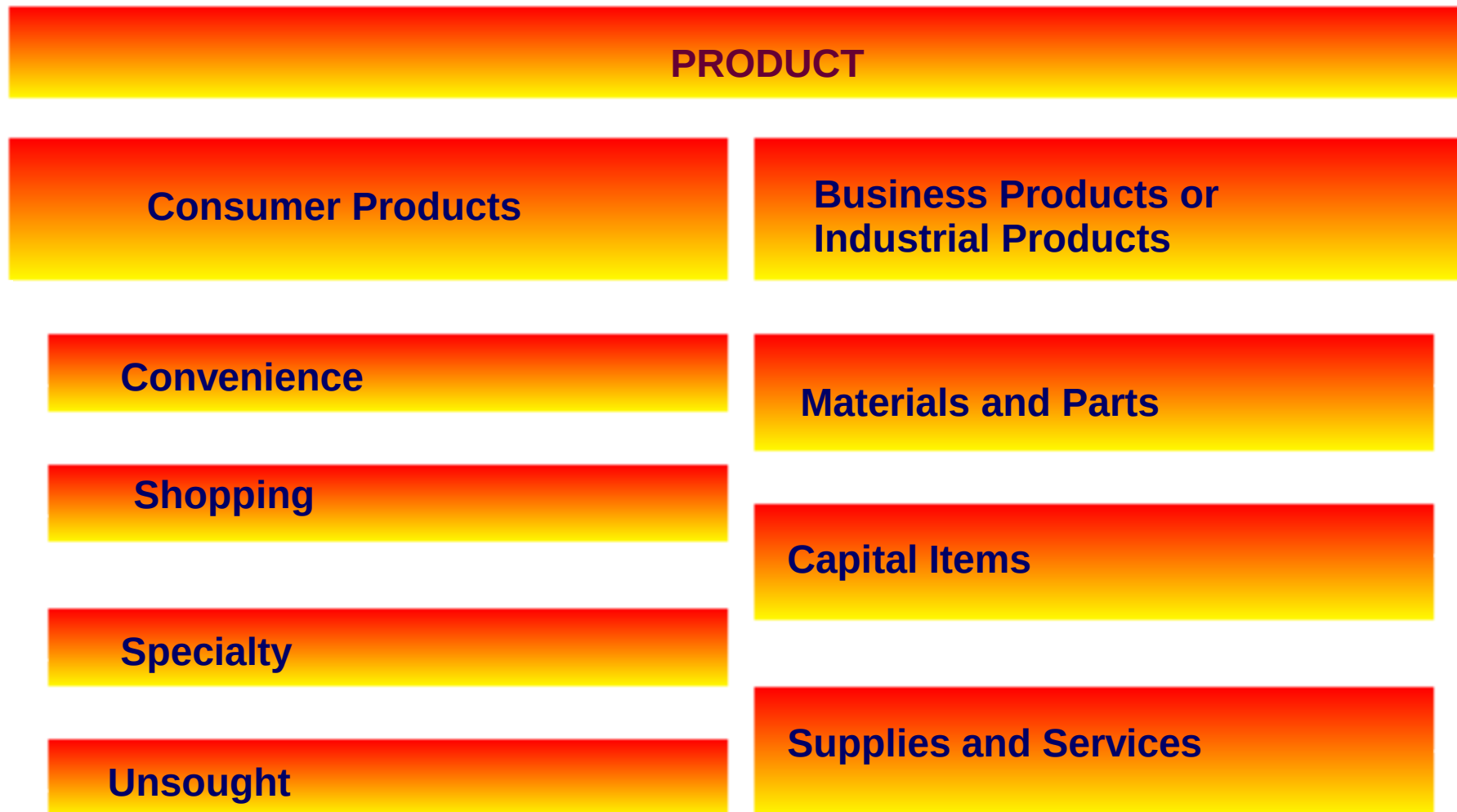
POTENTIAL PRODUCT The potential product includes all augmentations and transformations the product might undergo in the future. In simple language, this means that to continue to surprise and delight customers, the product must be augmented. 9

Summary :

The Five Product Levels model provides a way to show the different levels of need that customers have for a product.

- It can be useful in helping organizations understand their customers. From there, they can structure themselves to best serve those needs and wants. In this way, they can differentiate themselves from their competitors.

Classification of products



Classification of Products

Consumer Products

Purchased by consumers for personal consumption

Business Products / Industrial Products

Purchased by business concerns for further production

Consumer Products

Classification of consumer products

Convenience goods

- FMCG goods purchased regularly by consumer

- Consumer involvement very low

- Price of product is very low

- Intensive distribution channel is used

- The stock turnover is quite high

- Aggressive promotion is used

- Examples : soap, detergents, cigarettes etc

Shopping goods

- High consumer involvement

- Process information of product suitability, quality and price

- Less frequent purchase as compared to convenient goods

- Price of the product is quite high

- Products available in selected outlets

- Consumer takes lot of time to search and evaluate information

Consumer Products

Specialty goods

- High brand loyalty and ready to wait or spend time

- Companies adopt premium pricing strategy

- Exclusive distribution and selective communication strategy

- E.g.: Costly and branded music system, cars etc

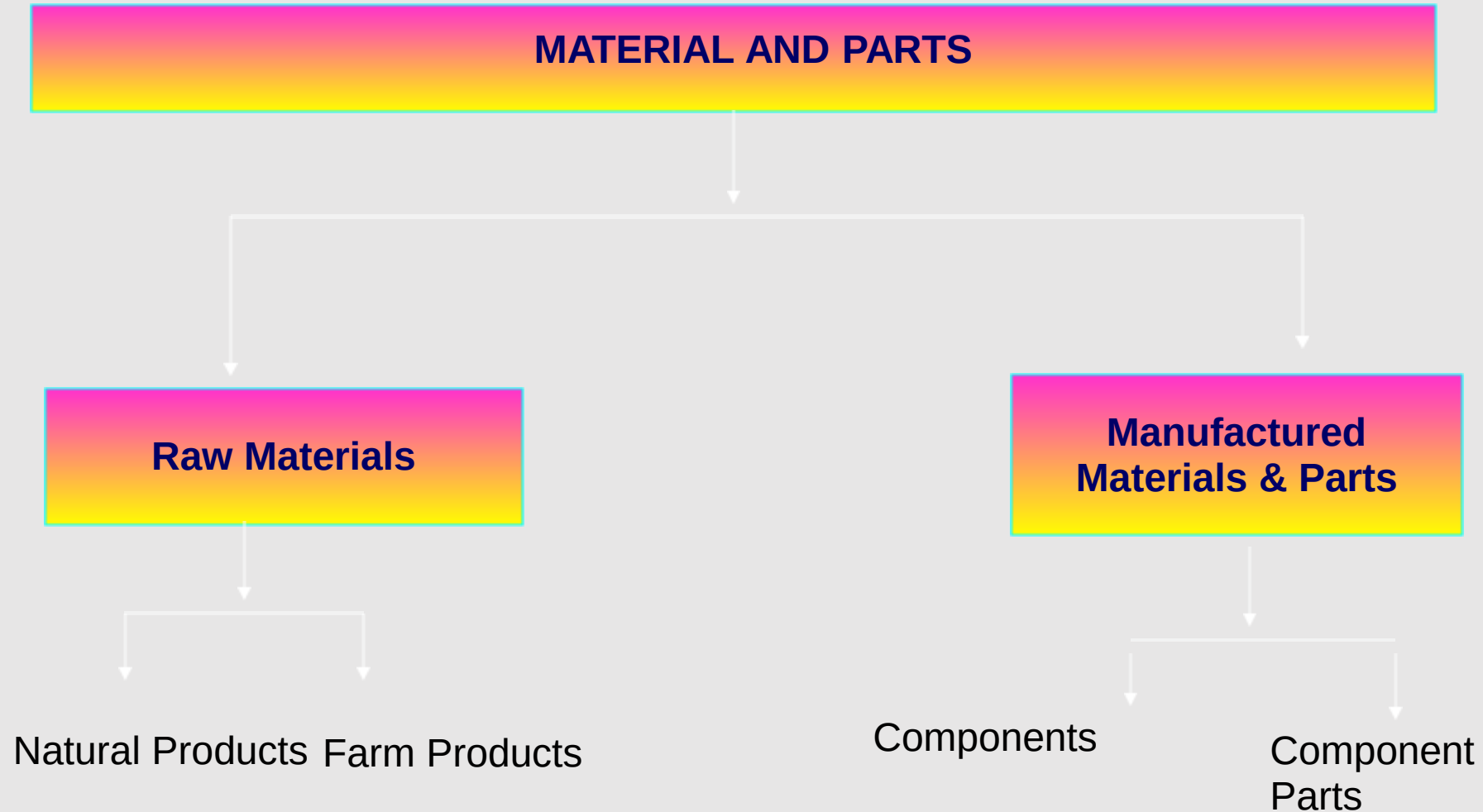
Unsought goods

- Consumers are unaware or ignorant about the product

- Marketers need heavy promotional activity and aggressive selling strategy

- E.g.; Insurance, funeral plots in US etc

Business Products/ Industrial Products



NEW PRODUCT DEVELOPMENT



New Product Development

New product development is a process whereby a new product is created by the company

New product doesn't mean that absolutely new to the world

It may be modification, or offered in the new market, or differentiate from the existing products

New Product Development

New Products are

New innovative product. Eg Orkut by Google

A product totally different from others. Eg.

Dream liner jet by Boeing

Imitative product that are not new to the market but new to the company. Eg. Tata Salt

New Product Development

New Product Development Process

1. Idea Generation

A new product is the result of a new idea.

Ideas are generated either from internal sources or from external sources

2. Idea Screening

Idea screening is a process whereby feasible ideas will be selected and non-feasible ideas will be rejected

3. Concept Development

The ideas should be explained as a concept.

4. Concept Testing

The concept will be tested with a group of target customers

5. Marketing Strategy Development

This involves three parts. They are: Target market, sales, market share and profit goals Product price, distribution, marketing budget Marketing mix strategies and profit goals

Analysis of sales, cost and profit of the new product and its compatibility with the company's mission, vision and objectives

6. Business analysis

Once decided upon a product concept and marketing strategy, management can evaluate the business attractiveness of the proposed new product.

7. Product Development

Real proto-type of the product will be manufactured to test its real performance

8. Test Marketing

The new product will be tested in a realistic marketing situation in few test canners

The 4 Ps of marketing also will be tested

9. Commercialization

The product will be aggressively launched in the market with aggressive communication strategy

Product Life Cycle (PLC)

Many of the product has a life cycle like a human being.

It passes through five different stages

- Product development stage

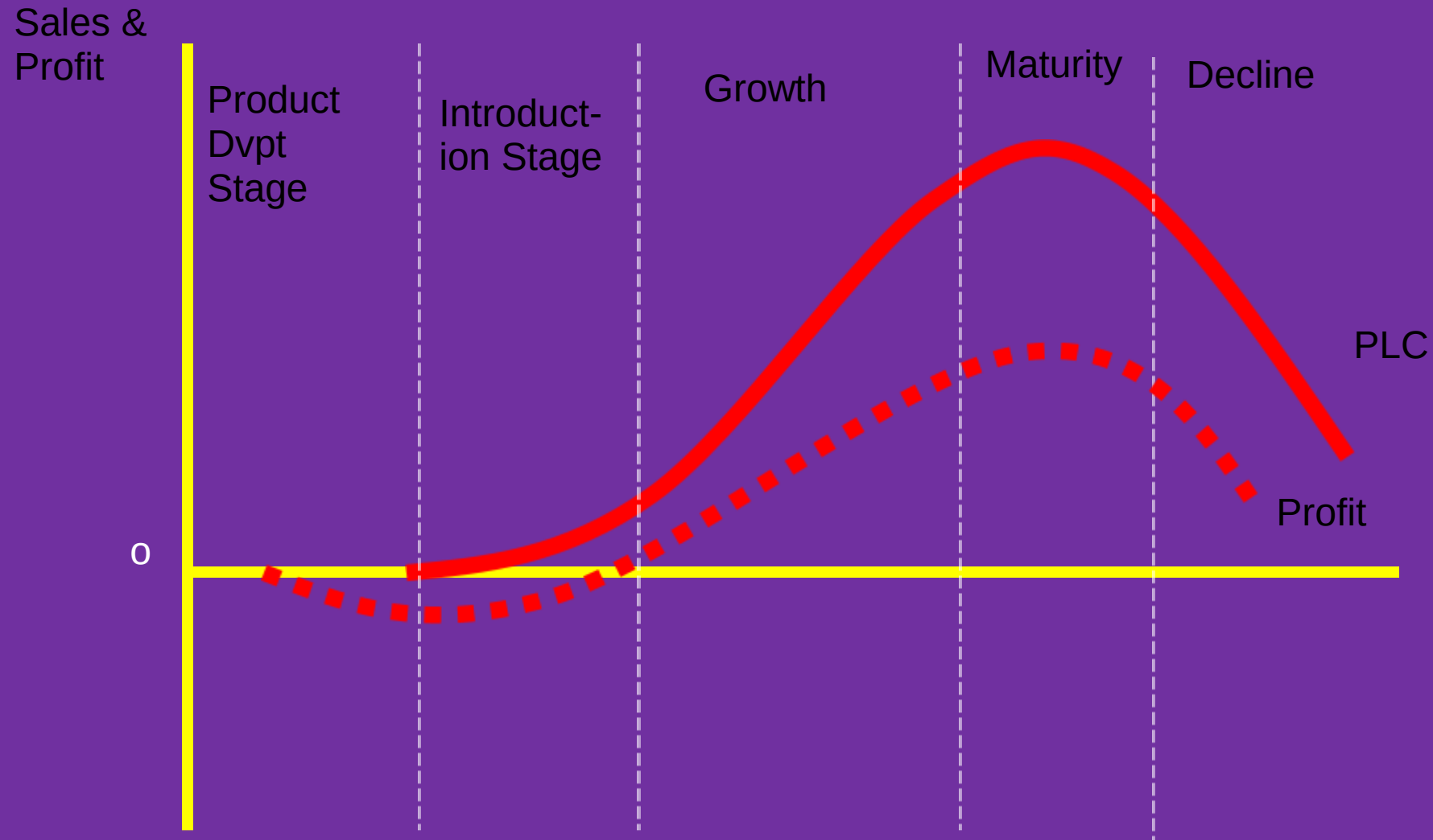
- Product introduction stage

- Growth stage

- Maturity stage

- Decline stage

Stages of Product Life Cycle (PLC)



PLC

Sales is zero in this stage, but company requires huge investment in R&D

So company incurs loss at this stage

Introduction Stage

As product is new, the awareness about the product is low during this stage

Company has to spend heavy amount of money on promotion and product awareness program

Cost of product is very high and the sales is very low

Company charges high price for the product

Growth Stage

Sales will grow rapidly during this stage

The cost of production goes down and companies get better profit

Company reduces the price of the product

It focuses on developing better distribution during this period

Number of competitors will grow in the market

Maturity Stage

Sales reaches peak level

Low cost and high profit

Pricing becomes competition based

Communicate product differentiation to the customers

Company improves the supply chain

Defend the market share

Industry get consolidated

PLC

Decline Stage

- Product sales declines

- Promotion also declines

- Company phase out weak product from their product mix

- The advertisement budget of the company also comes down

Learning Objectives

After studying this chapter, you should be able to:

1. Describe the major strategies for pricing initiative and new products
2. Explain how companies find a set of prices that maximize the profits from the total product mix
3. Discuss how companies adjust their prices to take into account different types of customers and situations
4. Discuss the key issues related to initiating and responding to price changes

Chapter Outline

- 1. New-Product Pricing Strategies**
- 2. Product Mix Pricing Strategies**
- 3. Price Adjustment Strategies**
- 4. Price Changes**
- 5. Public Policy and Pricing**

New-Product Pricing Strategies

Two Broad Strategies

- Market skimming pricing – *set a high initial price*
- Market penetration pricing – *set a low initial price*
- **Market skimming pricing** is a strategy with high initial prices to “skim” revenues layer-by-layer from the market.

Product quality and image must support the price.

Buyers must want the product at the price.

The costs of producing a smaller volume cannot be so high that they cancel the advantage of higher prices.

Competitors should not be able to enter the market easily and undercut the high price.

Market penetration pricing sets a low initial price in order to penetrate the market quickly and deeply to attract a large number of buyers quickly to gain market share.

Price sensitive market

Production and distribution costs must fall as sales volume increases

Low prices must keep competition out of the market.

Product-Mix Pricing Strategies

The firm looks for a set of prices that maximizes the profits on the total product mix.

Five product mix pricing situations

- Product line pricing – *the products in the product line*
- Optional product pricing – *optional or accessory products*
- Captive product pricing - *complementary products*
- By-product pricing – by-products
- Product bundle pricing – several products

Product-Mix Pricing Strategies

Product line pricing takes into account the cost difference between products in the line, customer evaluation of their features, and competitors' prices. – *the price differences represent the perceived quality differences*



Normal Hair
\$3.90



Anti-dandruff
\$4.90



Hair Fall Defense
\$4.90



Oily Hair
\$3.90

Product-Mix Pricing Strategies

Optional product pricing takes into account optional or accessory products along with the main product. – *Decide which items to include in the base price and which to offer as options*



New car with ordinary rims
\$59,000



New car with sports rims
\$60,000

Product-Mix Pricing Strategies

Captive product pricing involves products that must be used along with the main product.

- *Price the main, or driver product low and seek high margins on the supplies*
- **For services: two-part pricing** is where the price is broken into fixed fee and variable usage fee.
 - *Decide how much to charge for the basic service and how much for the variable usage*
 - *The fixed amount should be low enough to induce usage of the service; profit can be made on the variable fees*

Product-Mix Pricing Strategies

By-product pricing refers to products with little or no value produced as a result of the main product.

- Producers will seek little or no profit
- Producers should accept any price that covers more than the cost to cover storage and delivery.

Product-Mix Pricing Strategies

Product bundle pricing combines several products and offer the bundle at a reduced price.

- Price bundling can promote the sales of products



1 bottle: \$2.70



Bundled 2 bottles: \$4.90

Price Adjustment Strategies

Companies adjust basic prices to account for various customer differences and changing situations.

- Discount and allowance pricing
- Segmented pricing
- Psychological pricing
- Promotional pricing
- Geographical pricing
- Dynamic pricing
- International pricing

Price Adjustment Strategies

Discount and allowance pricing reduces prices to reward customer for certain responses such as paying early, volume purchases, and off-season buying.

- **Discounts**

- *Cash discount for paying promptly*
- *Quantity discount for buying in large volume*
- *Functional (trade) discount for selling, storing, distribution, and record keeping*

- **Allowances**

- *Trade-in allowance for turning in an old item when buying a new one*
- *Promotional allowance to reward dealers for participating in advertising or sales support programs*

Price Adjustment Strategies

Segmented pricing is used when a company sells a product at two or more prices even though the difference is not based on cost.

- Adjust basic prices to allow for differences in ***customers, products, and locations***
- Airlines, hotels and restaurants – revenue management or yield management
- To be effective:
 - Market must be segmentable
 - Segments must show different degrees of demand
 - Watching the market cannot exceed the extra revenue obtained from the price difference
 - Must be legal

Price Adjustment Strategies

- **Customer segment pricing** is when different customer pay for different prices for the same product or service.
- **Product form segment pricing** is when different versions of the product are priced differently but not according to differences in cost.
- **Location pricing** is when the product is sold in different geographic areas and priced differently in those areas even though the cost is the same.
- **Time pricing** is when a firm varies its prices by the season, the month, the day, and even the hour.

Price Adjustment Strategies

Psychological pricing occurs when sellers consider the psychology of prices and not simply the economics.

- **Reference prices** are prices that buyers carry in their minds and refer to when looking at a given product.
- Noting current prices
- Remembering past prices
- Assessing the buying situations



Price Adjustment Strategies

Promotional pricing is when prices are temporarily priced below list price or cost to increase demand.

- Loss leaders
- Special event pricing
- Cash rebates
- Low interest financing
- Longer warranties
- Free maintenance
- Risks of promotional pricing
 - Used too frequently
 - Copies by competitors can create “deal-prone” customers who will wait for promotions and avoid buying at regular price.
 - Creates price wars.



Price Adjustment Strategies

Promotional Pricing

- **Loss leaders** are products sold below cost to attract customers in the hope they will buy other items at normal markups.
- **Special event pricing** is used to attract customers during certain seasons or periods.
- **Cash rebates** are given to consumers who buy products within a specified time.
- **Low interest financing, longer warranties, and free maintenance** lower the consumer's "total price."

Price Adjustment Strategies

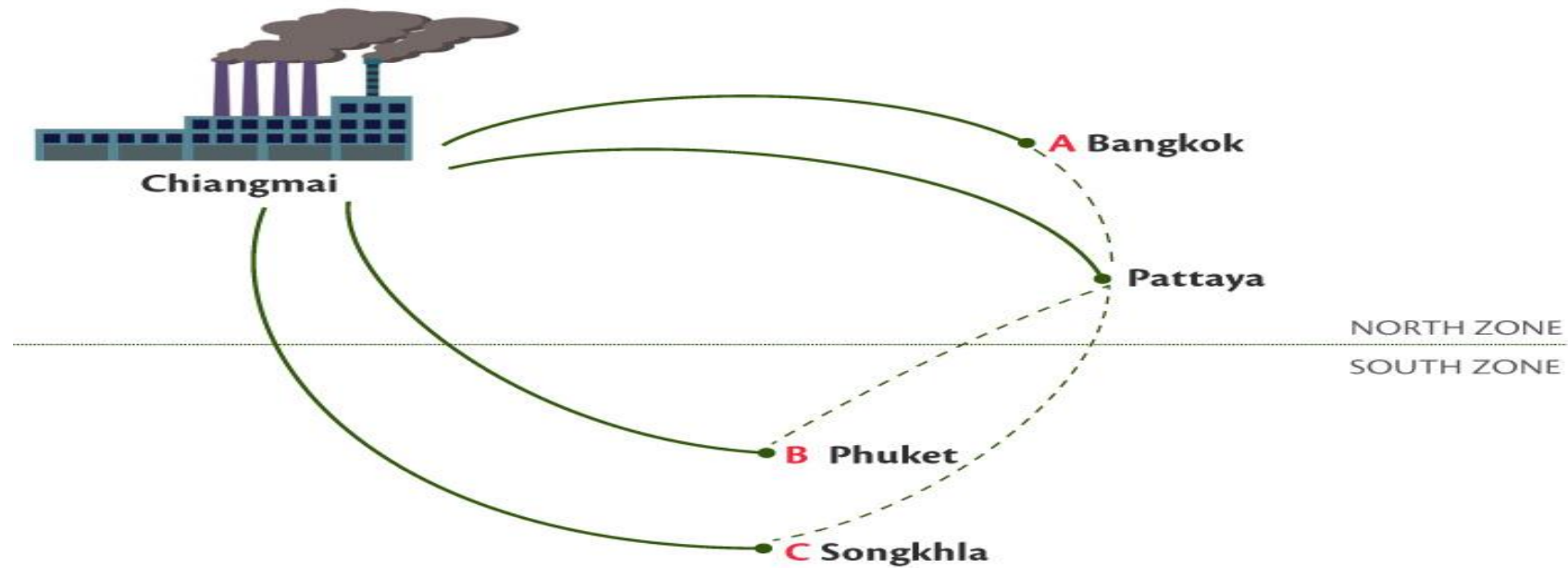
Geographical pricing is used for customers in different parts of the country or the world.

- FOB pricing
- Uniformed delivery pricing
- Zone pricing
- Basing point pricing
- Freight absorption pricing



Price Adjustment Strategies

- **FOB (free on board) pricing** means that the goods are placed free on board a carrier. At that point the title and responsibility passes to the customer, who pays the freight from the factory to the destination.
- **Uniformed delivery pricing** means the company charges the same price plus freight to all customers, regardless of location.
- **Zone pricing** means that the company sets up two or more zones where customers within a given zone pay a single total price.
- **Basing point pricing** means that a seller selects a given city as “basing point” and charges all customers the freight cost associated from that city to the customer location regardless of the city from which the goods are actually shipped.
- **Freight absorption pricing** means that the seller absorbs all or part of the actual freight charge as an incentive to attract business in competitive markets.



	A	B	C
FOB-origin pricing	\$100 + \$10	\$100 + \$15	\$100 + \$25
Uniform-delivered pricing	\$100 + \$15	\$100 + \$15	\$100 + \$15
Zone-pricing	\$100 + \$10	\$100 + \$15	
Basing-point pricing	\$100 + cost of shipping from Pattaya		
Freight-absorption pricing	\$100	\$100	\$100

Dr K. Mwai (PhD), Principles of Marketing notes

Price Adjustment Strategies

- **Dynamic pricing** is when prices are adjusted continually to meet the characteristics and needs of the individual customer and situations.
- **International pricing** is when prices are set in a specific country based on country-specific factors.
 - Economic conditions
 - Competitive conditions
 - Laws and regulations
 - Infrastructure
 - Company marketing objectives



The Promotion Mix

- **The promotion mix** is the specific blend of advertising, sales promotion, public relations, personal selling, and direct-marketing tools that the company uses to persuasively communicate customer value and build customer relationships.
- **Major Promotion Tools**
 - Advertising
 - Sales promotion
 - Public relations
 - Personal selling
 - Direct marketing



The Promotion Mix

Major Promotion Tools

- **Advertising** is any paid form of non-personal presentation and promotion of ideas, goods, or services by an identified sponsor.
 - Broadcast
 - Print
 - Internet
 - Outdoor



The Promotion Mix

Major Promotion Tools

- **Sales promotion** is the short-term incentives to encourage the purchase or sale of a product or service.
 - Discounts
 - Coupons
 - Displays
 - Demonstrations

The Promotion Mix

Major Promotion Tools

- **Public relations** involves building good relations with the company's various publics by obtaining favorable publicity, building up a good corporate image, and handling or heading off unfavorable rumors, stories, and events.
 - Press releases
 - Sponsorships
 - Special events
 - Web pages

The Promotion Mix

Major Promotion Tools

- **Personal selling** is the personal presentation by the firm's sales force for the purpose of making sales and building customer relationships.
 - Sales presentations
 - Trade shows
 - Incentive programs

The Promotion Mix

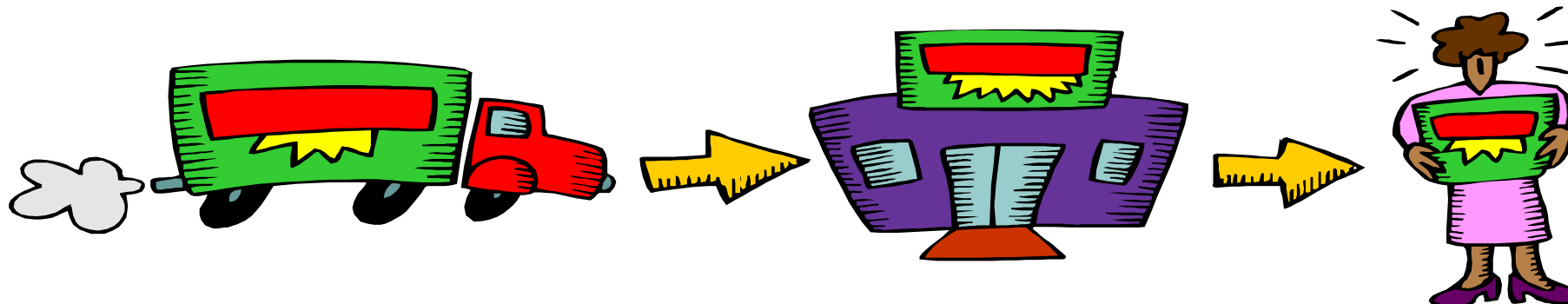
Major Promotion Tools

- **Direct marketing** involves making direct connections with carefully targeted individual consumers to both obtain an immediate response and cultivate lasting customer relationships – by using direct mail, telephone, direct-response television, e-mail, and the Internet to communicate directly with specific consumers.
 - Catalog
 - Telemarketing
 - Kiosks

Socially Responsible Marketing Communication

- Communicate openly and honestly with consumers and resellers.
- Avoid deceptive or false advertising.
- Avoid bait and switch advertising.
- Conform to all regulations.
- Follow rules of “fair competition.”
- Do not offer bribes.
- Do not attempt to obtain competitors’ trade secrets.
- Do not disparage competitors or their products.

Channel Management / Distribution

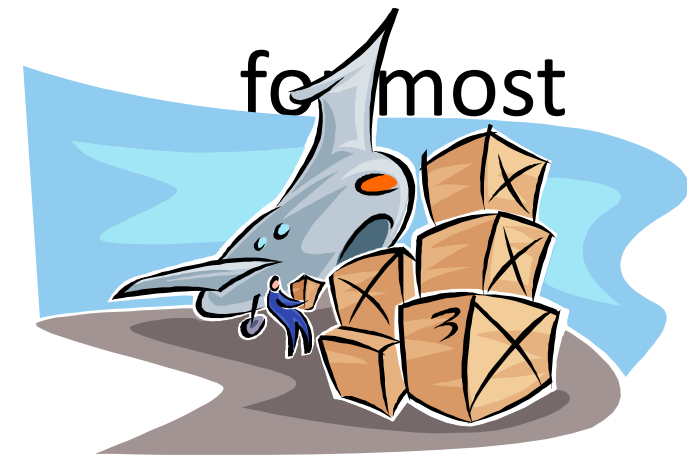


A channel of distribution comprises a set of institutions which perform all of the activities utilized to move a product and its title from production to consumption

Bucklin - *Theory of Distribution Channel Structure*

Physical distribution is...

- Organizing and moving products through the channels
- aka: Logistics = ordering, transporting, storing, handling and inventory control
- The 3rd largest expense businesses
- (#1 Materials #2 Labor)



Explain how channel members add value

○Right PLACE

○Right TIME

- Place UTILITY

- Location – having the product where customers can buy it

- Time UTILITY

- Having the product available when the customer wants/needs it

Channel members add value to a product by performing certain channel activities expertly

- Marketing
- Packaging
- Financing
- Storage
- Delivery
- Merchandising
- Personal selling

Adding Value through Distribution

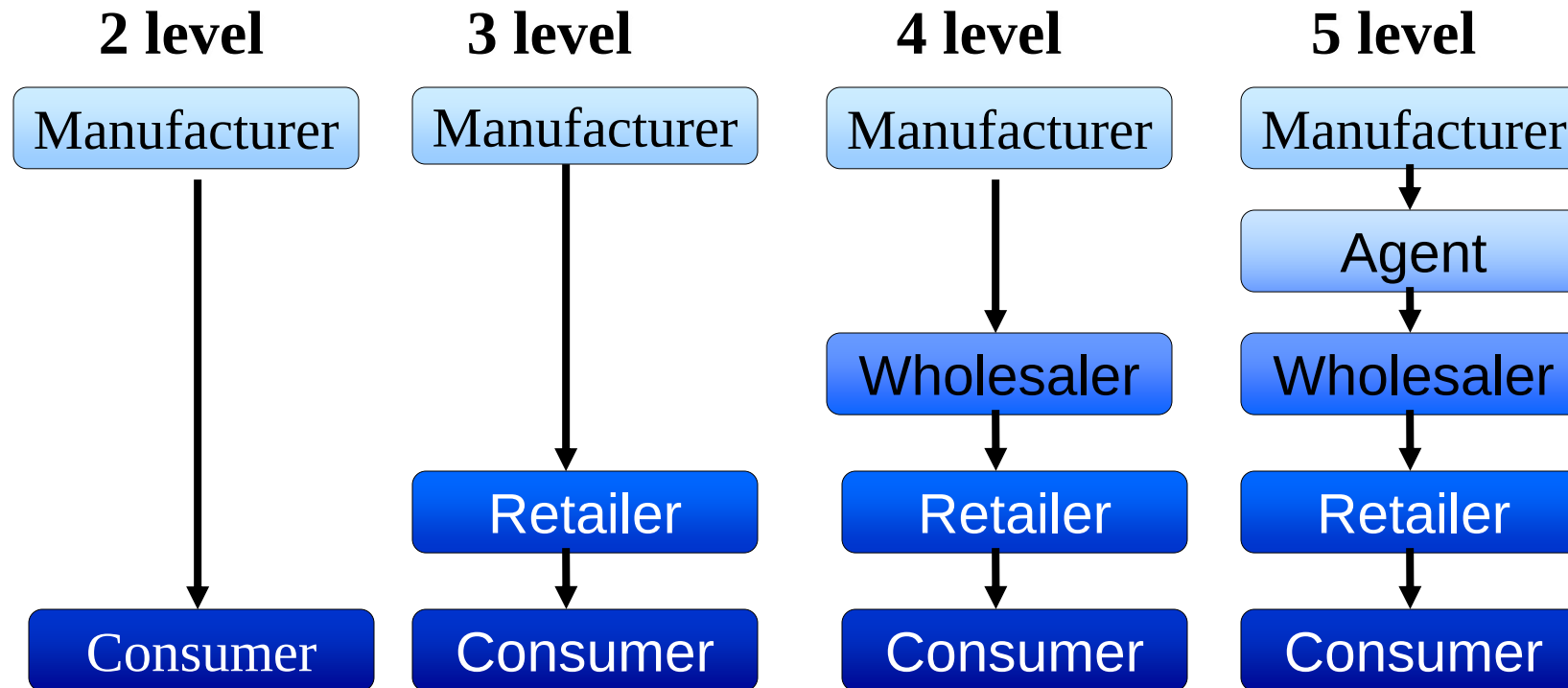
- Intermediaries provide value to producers because they often have **expertise** in certain areas that producers do not have.
- Intermediaries are **experts in** displaying, merchandising, and providing convenient shopping locations and hours for customers.

CHANNEL FUNCTIONS

- Information
- Promotion
- Contact
- Matching
- Negotiation
- physical distribution
- Financing
- Risk taking

Length of Channel

- *Channel length* = number of levels in a distribution channel.



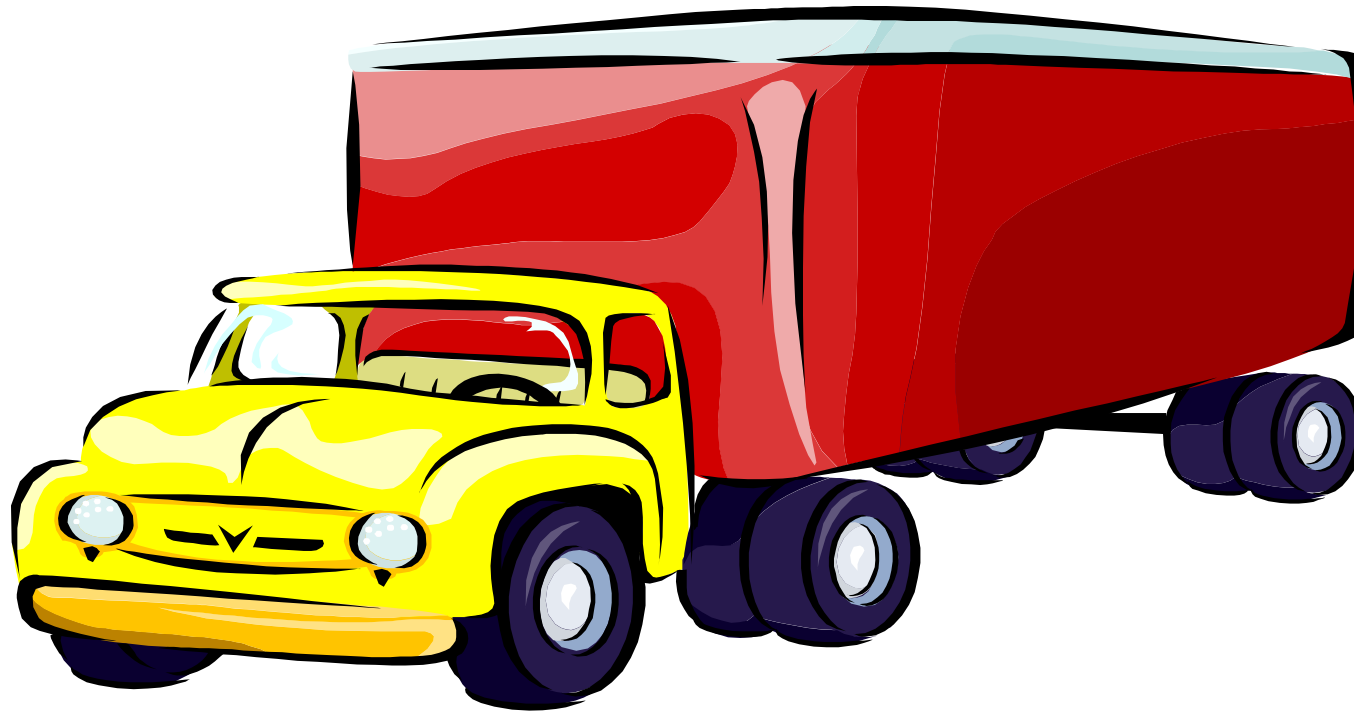
Channel Design (cont.)

- Efficient movement of finished product from the end of the production line to customers.
- Coordinate the execution of distribution plans
- So as to provide good customer service at acceptable cost.

Determinants of Channel Structure

1. The distribution tasks that need to be performed
2. The economics of performing distribution tasks
3. Management's desire for control of distribution
4. Transaction Efficiency (refers to the effort to reduce the number of transactions between producers & consumers).

YOU'RE DONE!!!



Introduction to Services

- What are Services?
- Why Service Marketing?
- Service and Technology
- Characteristics of Services
- Service Marketing Mix
- Staying Focused on the Customer

Objectives for Chapter 1: Introduction to Services

- Explain what services are and identify important trends in services.
- Explain the need for special service marketing concepts and practices and why the need has developed and is accelerating.
- Explore the profound impact of technology on service.
- Outline the basic differences between goods and services and the resulting challenges and opportunities for service businesses.
- Introduce the expanded marketing mix for services and the philosophy of customer focus as powerful frameworks and themes that are fundamental to the rest of the text.

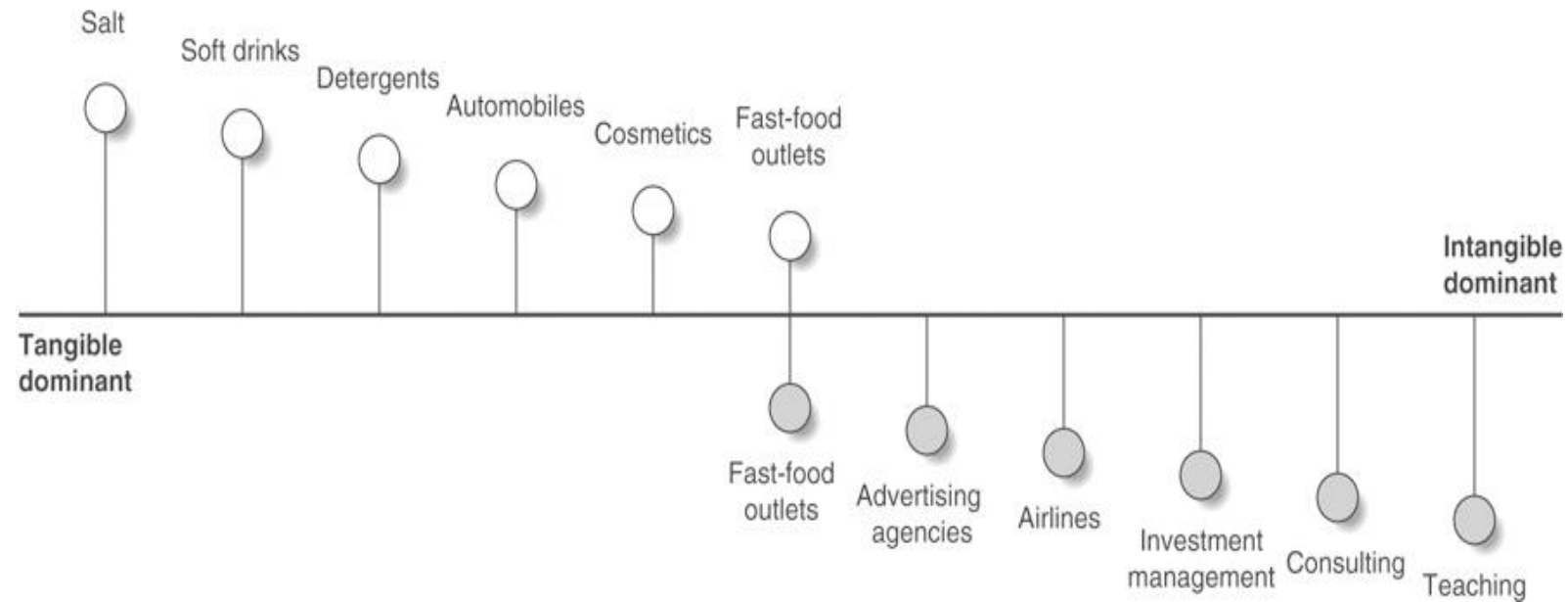
Examples of Service Industries

- Health Care
 - hospital, medical practice, dentistry, eye care
- Professional Services
 - accounting, legal, architectural
- Financial Services
 - banking, investment advising, insurance
- Hospitality
 - restaurant, hotel/motel, bed & breakfast
 - ski resort, rafting
- Travel
 - airline, travel agency, theme park
- Others
 - hair styling, pest control, plumbing, lawn maintenance, counseling services, health club, interior design

Tangibility Spectrum

FIGURE 1.2 Tangibility Spectrum

Source: G. Lynn Shostack, "Breaking Free from Product Marketing," *Journal of Marketing* 41 (April 1977), pp. 73–80. Reprinted with permission of the American Marketing Association.



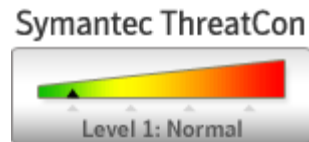
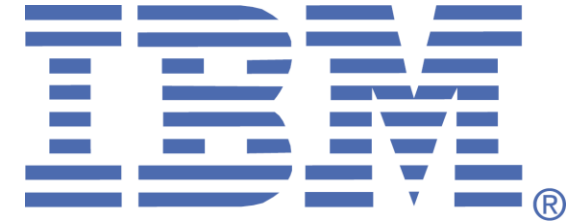
Why Service Marketing?

- Service as a business imperative in goods-focused businesses
- Deregulated industries and professional service needs
- Service marketing is different
- Service leads to profits

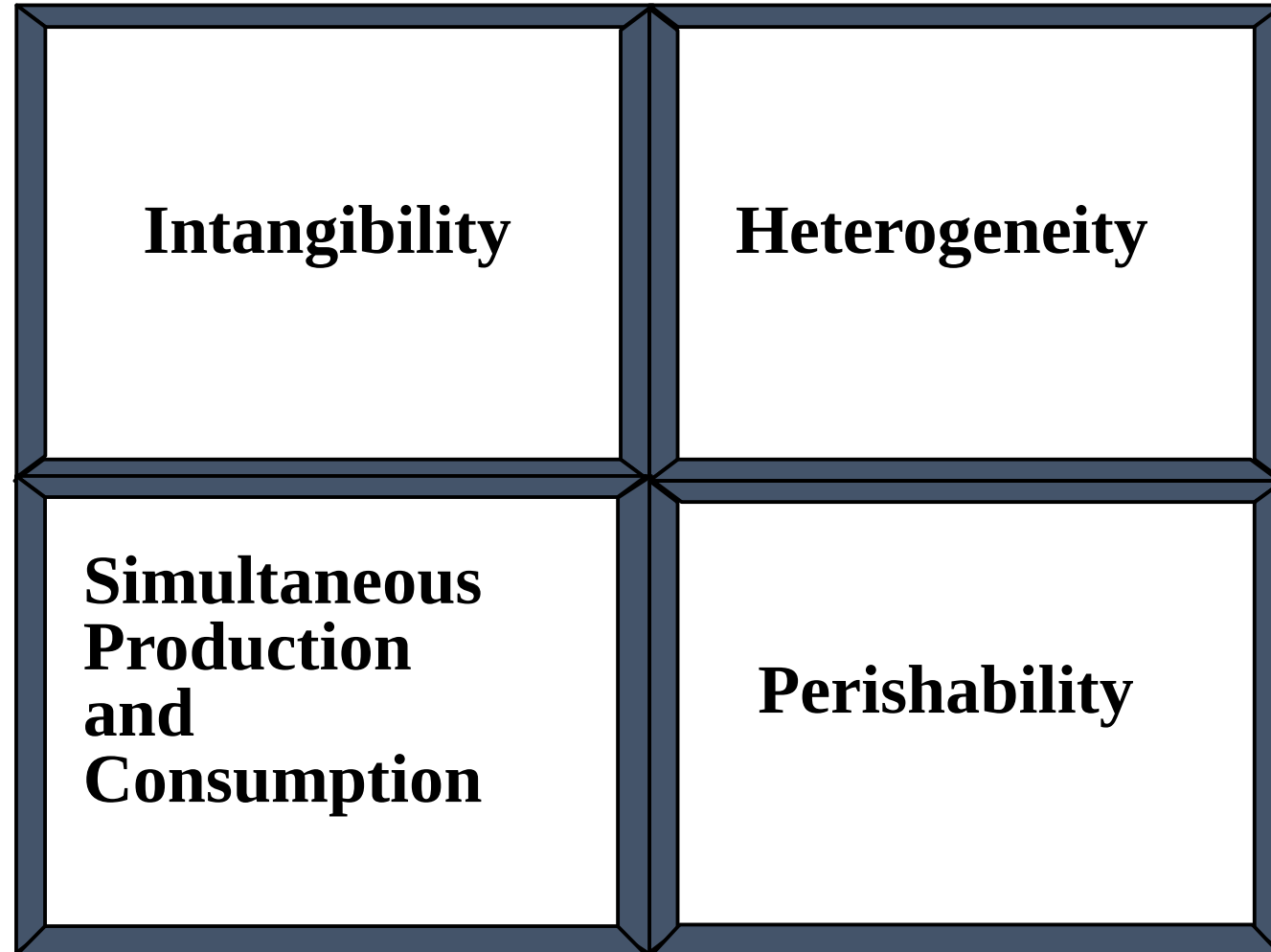
Examples of Goods Companies that are Expanding into Services



Boeing



Characteristics of Services Compared to Goods



- **Intangibility**

- Services are intangible we cannot touch them are not physical objects. According to Carman and Uhl, a consumer feels that he has the right and opportunity to see, touch, hear, smell or taste the goods before they buy them. This is not applicable to services. The buyer does not have any opportunity to touch smell, and taste the services. While selling or promoting a service one has to concentrate on the satisfaction and benefit a consumer can derive having spent on these services. **e.g.** An airline sells a flight ticket from A destination to B

destination. Here it is the matter' of consumer's perception of services than smelling it or tasting it.

- **Perishability**

- Services too, are perishable like labor; Service has a high degree of perishability. Here the element of time assumes a significant position we do not use it today, it labor if ever. If labor stops working, it is a complete waste. It cannot be stored. Utilized or unutilized services are an economic waste. An unoccupied building, an unemployed person, credit unutilized, etc. are economic waste. Services have a high level of perishability.

- **Inseparability**

Services are generally created or supplied simultaneously. They are inseparable. For an e.g. the entertainment industry, health experts and other professionals create and offer their service at the same given time. Services and their providers are associated closely and thus, not separable. Donald Cowell states 'Goods are produced, sold and then consumed whereas the services are sold and then produced and consumed'. Therefore inseparability is an important characteristic of services which proves challenging to service management industry.

- **Heterogeneity**

- This character of services makes it difficult to set standard for any service. The quality of services cannot be standardized. The price paid for a service may either be too high or too low as is seen in the

case of the entertainment industry and sports. The same type of services cannot be sold to all the consumers even if they pay the same price. Consumers rate these services in different ways. This

is due to the difference in perception of individuals at the level of providers and users. Heterogeneity makes it difficult to establish standards for the output of service firm.

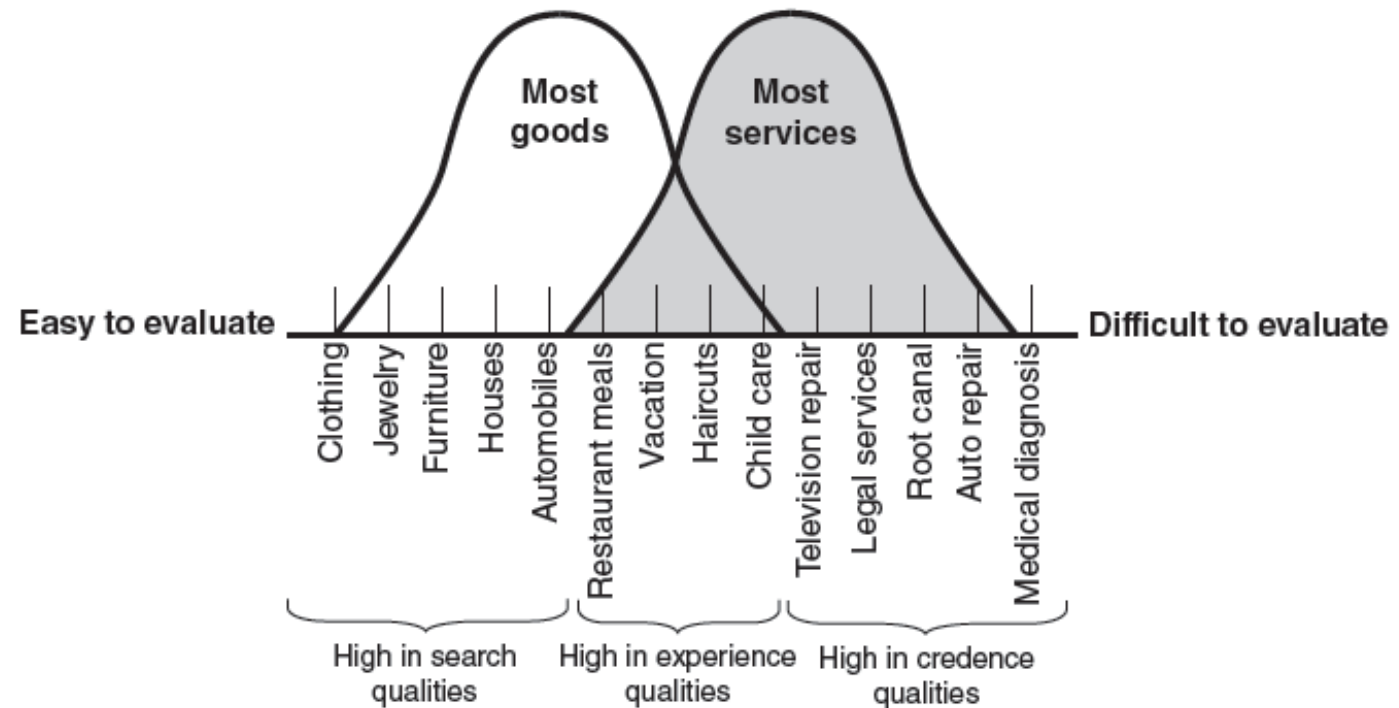
- **Ownership**

- In the sale of goods, after the completion of process, the goods are transferred in the name of the buyer and he becomes the owner of the goods. But in the case of services, we do not find this. The users have only an access to services.
- They cannot own the service. **e.g.** a consumer can use personal care services or medical services or can use a hotel room or swimming pool, however the ownership remains with the providers.

Search, Experience, and Credence Qualities

FIGURE 1.5
Continuum of
Evaluation for
Different Types
of Products

Evaluation Qualities of Goods and Services



Expanded Mix for Services – The 7 Ps

- Product
- Price
- Place
- Promotion
- **People**
 - All human actors who play a part in service delivery and thus influence the buyer's perceptions: namely, the firm's personnel, the customer, and other customers in the service environment.
- **Physical Evidence**
 - The environment in which the service is delivered and where the firm and customer interact, and any tangible components that facilitate performance or communication of the service.
- **Process**
 - The actual procedures, mechanisms, and flow of activities by which the service is delivered—the service delivery and operating systems.

Expanded Marketing Mix for Services

TABLE 1.3
Expanded
Marketing Mix
for Services

Product	Place	Promotion	Price
Physical good features	Channel type	Promotion blend	Flexibility
Quality level	Exposure	Salespeople	Price level
Accessories	Intermediaries	Selection	Terms
Packaging	Outlet locations	Training	Differentiation
Warranties	Transportation	Incentives	Discounts
Product lines	Storage	Advertising	Allowances
Branding	Managing channels	Media types	
		Types of ads	
		Sales promotion	
		Publicity	
		Internet/Web strategy	
People	Physical Evidence	Process	
Employees	Facility design	Flow of activities	
Recruiting	Equipment	Standardized	
Training	Signage	Customized	
Motivation	Employee dress	Number of steps	
Rewards	Web pages	Simple	
Teamwork	Other tangibles	Complex	
Customers	Reports	Customer involvement	
Education	Business cards		
Training	Statements		
	Guarantees		